Vishal Mega Mart (VMM)

Conference call transcripts, oldest-first. 6 call(s). Generated 2026-06-08.

Call: May 2025

VISHAL MEGA MART LIMITED
(Formerly known as Vishal Mega Mart Private Limited)
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CIN: L51909HR2018P LC073282

Date: May 0 7, 2025

To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Scrip Symbol: VMM To
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 544307
Dear Sir/ Madam,
Subject: Revised Transcript of Earnings Conference Call on results of the Company for the quarter and year ended March 31, 2025
In continuation to our letter dated May 05, 2025, regarding the transcript of the Earnings Conference Call on the results of the Company for the quarter and year ended March 31, 2025, we wish to bring to your attention certain inadvertent errors in the earlier version of the transcript.
Please find below the corrections incorporated in the revised transcr ipt submitted herewith for your records:
1. Page 2 :
a. Instead of "Company did a revenue of Rs. 2,547 crores" , read as "Company did a revenue of Rs. 2,548 crores."
b. Instead of "the gross profit was Rs. 3,052 crores" , read as "the gross profit was Rs. 3,053 crores."
c. Instead of "pre -ESOP and as per IndAS 116 the EBITDA was Rs. 1,033 crore" , read as "pre -ESOP and pre IndAS 116 the EBITDA was Rs. 1,033 crore."
2. Page 3 :
a. Instead of "growth of Rs. 45.5 crores" , read as "growth of 45.5%."
b. Instead of "1.2 crore million square feet", read as "1.2 crore square feet"
3. Page 7 : Instead of "your new directory" , read as "your new territories."
4. Page 11 : Speaker's name changed from "Gunender Kapur" to "Amit Gupta."
5. Page 17 : Instead of "any more store" , read as "mom and pop store."
The revised Transcript of Earnings Conference Call on results of the Company for the quarter and year ended March 31, 2025 , is enclosed herewith for your reference. The copy of revised transcript is also available on the Company 's website a t https://aboutvishal.com/ .
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We request you to kindly take the same on record.
Thanking you.

For Vishal Mega Mart Limited

____
Rahul Luthra
Company Secretary & Compliance Of■icer
ICSI Membership No: F9588

Encl: As above

"Vishal Mega Mart Limited Q4 FY '25 and FY '25
Earnings Conference Call "

April 30, 20 25

MANAGEMENT : MR. GUNENDER KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Vishal Mega Mart Limited Q4 FY '25 and FY'25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only -mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" , then "0" on your touch tone phone. Please note that this conference i s being recorded.

I now hand the conference over to Ms. Shikha Puri from S trategic Growth Advisors. Thank you and over to you, ma'am.

Shikha Puri: Thank you. Good afternoon, everyone . And thank you for joining us on Vishal Mega Mart Limited 's Q4 FY '25 and FY '25 Earnings Call . We have with us Mr. Gunender Kapur – MD and CEO ; Mr. Amit Gupta – CFO.

I hope everyone got an opportunity to go through our Financial Results and Investor Presentation uploaded on the Company 's Website and the Stock Exchanges. We will begin the call with opening remarks from the management , following which we will h ave the forum open for question -and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward -looking in nat ure, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier .

I would now like to invite Mr. Gunender Kapur , MD and CEO , to give his opening remarks. Thank you and over to you, s ir.

Gunender Kapur: Well, than k you very much, Shikha . Very good afternoon, ladies and gentlemen. A v ery warm welcome to this call. What I will do very briefly is to speak about the Q uarter 4 results and the quarter and the full year ' 25 results very briefly , give you a glimpse of some of the highlights , and then very quickly I will open the call for questions.

Firstly, on Q uarter 4 '25, the Company did a revenue of Rs. 2,547 crores (Note: Company did a revenue of Rs. 2,548 crores). This was a growth over last year , 23% . And in terms of same store sales growth, we achieved a number of 13.7% . (Note: This is Adjusted SSSG). The gross profit was Rs. 720 crores. The EBITDA was Rs. 357 crores. The Adjusted EBITDA , which is IndAS 116 adjusted, and pre -ESOP was Rs. 208 crores. Likewise, the PAT was Rs. 115 crores. Now ,

these are a lot of numbers. I am sure you have seen the numbers . The PAT grew by 88% over last year. The PAT margin was 4.5%. And the PAT number adjusted for ESOP s was Rs. 128 crores, more than 100% growth over last year and 5% margin .
Very quickly moving on to the full year performance . The Company did a revenue of Rs. 10,716 crores, which means the same store sales growth for the full year of 12.3% (Note: This is Adjusted SSSG). Likewise, the gross profit was Rs. 3,052 crores , (Note: the gross profit was Rs. 3,053 crores) an improvement of 23.8% over last year . And as a percentage of revenue, the gross profit was 28.5%. The EBITDA was Rs. 1,530 crores, which was a 22.6% growth over last year and an EBITDA margin of 14.3% . Likewise, pre -ESOP and as per IndAS 116 the EBITDA was Rs. 1,033 crores (Note: pre-ESOP and pre IndAS 116 the EBITDA was Rs. 1,033 crore), a

growth of 38.7% over last year , and represented a margin of 9.6% as a percentage of revenue. So. you will see that this clearly grew by 128 bps vis -à-vis last year . The PAT was Rs. 632 crores, which represents 5.9% margin, 36.8% growth over last year. And finally, PAT adjusted for ESOPs was Rs. 676 crores , a growth of Rs. 45.5 crores (Note: growth of 45. 5%) over last year and represent a percentage margin of 6.3%.
Now that's a very brief and rather quick snapshot of the numbers. I would be very happy to clarify any of these numbers during the course of the call . Over

the year, we accelerated our new
store opening plan and we opened 90 new stores. Now we are present in 458 cities in India and we occupy a trading area of 12.2 million square feet, which is, let's say , slightly over 1.2 crore square feet. As you know, our own brands, private brands are a very important and crucial part of our business , and in fact, one very important dimension of differentiation vis-à-vis everyone else. The private brands ' contribution grew to 73.1%, which is a clear 135 bps improvement over the last year. The category mix remain ed broadly the same or similar . Clothing contributes to 43.9% of our business, general merchandise 28.2% ; and FMCG 27.7%
And last but not the least, we had during the IPO presentation, spoken briefly about our quick commerce platform. So the progress there also has been consistent and good. Now our quick commerce initiative is available to the customers who live in the catchment of 656 stores across 429 cities in the country . And now registered users on quick commerce have increased to 8.7 million folks around the c ountry.
So that's very brief , again , highlights of the various initiatives which we had spoken about in the past. I will stop at this place now and I will be , along with my colleagues , I will be very happy to take the questions tha t you have.
Moderator: Thank you, sir . We will now begin with the question -and-answer session. The first question comes from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.
Jignesh Kamani: Yes. Hi, Gunender and Amit. Congratulations for a good set of number. Just on the gross margin , we have seen close to around 80 basis point s improvement on the Y-o-Y for the full year. So. if you take about few of the lever , like a higher set of private label, you can say strong brand pull, better sourcing , anything , so just can you highlight what are the key levers and which are the key reasons which contributed to gross margin improvement ?
And just adding to that on private label , which is close to 73% for you, we have seen a strong brand pull from many of the private brands. And right now the private level is close to 40 % to 50% discount to national level brand s. So are you seeing there, b ecause of strong brand pull, there is a scope to reduce some of the discounting in some of the key brands and hence improve the gross margin ? Thanks
Gunender Kapur: Sure. Thank you very much for both the questions , they are great. Firstly, on the 80-bps improvement in gross margin, I will tell you three or four reasons which have contributed to this. The first and the obvious one is that our business is growing well, r esulting in greater leverage with us in terms of sourcing and buying. So that's an important component of what's led to that

margin improvement. Secondly, as I mentioned slightly earlier , and you also alluded to that , the private label contribution has gone up by 135 bps over last year and that has also contributed to improvement in gross margin. Lastly, as we spok e earlier, we are always trying to move customers from the lower price points to hig her price points , and that is a continuous process. So that shift of a certain number of customers to higher price points h as further led to an improvement of gross margins. So these three factors put together add up to 80 bp s, and that's the improvement in the gross margin.

So. your second question was that, in view of the fact that our private brands are making great progress, are we looking for reducing the discount at which we are selling these brands vis -à-vis national leaders? Not immediately as yet, because you see, there are two factors which go into the pricing of private brands. One of course is , as you mentioned, the discount over the market leaders and s o on. Secondly, our goal is also to drive penetration

in these categories which still
have no penetration . And one element of pricing is completely focused on seeing what is the price point at which they will become affordable for a significantly large number of consumers and customers. So. it's a combination of these two. It's too early for us to claim that we have driven penetration to or saturated any of these categories in any significant way. So we are not really looking at reducing the discount just as yet.
Jignesh Kamani: Understood. And follow -up question on growth wise , 13.4% kind of healt hy SSSG for the full year, is there a growth across board? Or UP is doing very well versus South , Karnataka, or any sense on any diversion between various cluster s?
Gunender Kapur: Firstly, our same store sales growth, just minor correction , is 12.3% for the full year , for Quarter 4 it is 13.7% (Note: these are adjusted SSSG) . Secondly, our growth across all our three businesses is pretty similar and in the same ballpark. And lastly, you will be happy to know that we have not seen any significant divergences of growth between East, Northe ast, South and West. Of course, there are minor and insignificant differences, but nothing which is significant. They have all grown at the same ballpark.
Jignesh Kamani: Okay . Thanks a lot.
Gunender Kapur: Thank you.
Moder ator: The next question comes from the line of Vivek Maheshwari from Jefferies Group. Please go ahead.
Vivek Maheshwari: Hi, good afternoon GK and Amit.
Gunender Kapur: Hi, good a fternoon.
Vivek Maheshwari: A couple of points that I want to get more clarity on. So. first on the store additions , last year 90, what do you think you should be doing in FY '26 as well as let's say in the next three years on an annual basis?

Gunender Kapur: In FY '26, I would not give any specific guidance , Vivek, if you can understand that . But we will be in the same ballpark. And for the next three years, I would say that our endeavor is to add more and more stores every year. So , I would be optimistic on the next two year period beyond full year '26. And '26 we would be in the same ballpark.
Vivek Maheshwari: Okay . So. we can basically work with 90 what you have done last year , and project the next couple of years at least?
Gunender Kapur: I would believe that to be very sensible, Vivek .
Vivek Maheshwari: Okay . And GK , of these 90 stores, let's say , in the next couple of years, how do you think about , let's say , getting into new markets, whether it's Kerala or Maharashtra versus the existing markets especially , let's say , UP, Assam and Karnataka? Do you have a se nse, or can you rather give us a sense in terms of new versus existing territories within which, of course , the top three ?
Gunender Kapur: Sure, Vivek. And you picked up all the right territories which I had spoken about earlier in the IPO presentation. I am very happy to inform you that we have double digit stores in Kerala now , and we are moving with speed in terms of expansion into Kerala . At the same time, w e have also started small pilots which will just be rolled out, I suppose , in the next 30 to 60 d ays, both in Gujarat and Maharashtra, to learn about that those two markets , because as you know, historically we have not been there. So even those small pilots in these two states are in the final stages of finalization and will come to fruition definitely in the next two, three months. Kerala is going ahead with full speed at the moment.
Vivek Maheshwari: Got it. And what are your views from the existing top three markets ?
Moderator: I am sorry to interrupt, Vivek , those were you r two questions. I would request you to join back the queue. Thank you. The next question comes from the line of She ela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi: Thanks for taking my question. Just a follo

w -up on the store expansion plans . And GK, you
talked about piloting in markets like Maharashtra and Gujarat, so when you talk about the expansion plans for the next three years, does that incorporate the expansion into these two markets also ? Or this will be beyond the existing plans of pursuing a expansion in the existing markets? Just wanted a clarification on that.
Gunender Kapur: So. Sheela, it does include the expansion into Kerala . Maharashtra and Gujarat , as I mentioned, we are going for the first time , and therefore we have to establish our , both, relevance and

viability in these two markets. So , I would say that the Maharashtra and Gujarat numbers are
not, in any aggressive sense, fully baked in. But Kerala numbers are.
Sheela Rathi: Understood. Thank you for that. Sir my second question is on the e -commerce bit where you talked about hyper local delivery , and we have 9 million users there already. Just want to understand, especial ly from Tier-2 markets , because that's our forte , where are we seeing a pickup in terms of e -commerce demand coming for us ?

Gunender Kapur: Sheela, again, I am happy to say that the response from the Tier -2 and even Tier -3 markets has been very encouraging . Obviously , the response in the markets, which are somewhat underserved in terms of quick commerce, has been better because we are the only and the first folks in towns to deliver the quick commerce benefit. So , in those markets we are touching, I would say , let's say , 3% to 5% of our total store revenue from e -commerce. W hereas in the more saturated , I mean saturated is not the right word, b ut the markets where all the other folks are also serving customers. Our contribution of quick commerce to the total revenue would be in the ballpark of 1.5% to 2%, at the moment . But it's growing every day , it's growing month after month. So I would say that it's a very consistent performance that we are seeing across the country.
Sheela Rathi: And one quick bookkeeping question --
Moderator: Sorry to interrupt you, Sheela, those were your two questions. I would request you to fall back into the queue.
Sheela Rathi: Sure.
Moderator: Thank you. The next question comes from the line of Jignanshu Gor from Bernstein. Please go ahead.
Jignanshu Gor: Hi. Thank you for the opportunity. Hi, GK . Congratulations on a good set of numbers. I had two questions, one macro and one micro. So the macro question is, given we have a very spread out network in terms of Tier-1/2 and 3 , I wanted to understand, while you mentioned all the four regions are doing broadly similar, is there a difference in their demand environment , maybe especially for apparel that we are seeing , which is different in let's say the larger cities which are Tier-1 versus Tier-3. I think that's question one.
Gunender Kapur: Now Jignanshu, fair observation, but we have not seen any significant differences between Tier -1, Tier-2 and Tier -3 in terms of growth, and specifically the same store sales growth , pretty much in the same ballpark across the country. And ye s, I mean, that's been true of all our categories actually.
Jignanshu Gor: Okay . Alright. Then the second question is , over the last three years we have seen a reduction in the size of new stores which we are opening , right. As a result, the network average of stores has also reduced. So , how should we read this trend and think about it in the future ?
Gunender Kapur: So, Jignanshu, what's happening is that as we are going more and more into Tier -2 and Tier -3, specifically Tier-3 smaller towns, we fine tune the size of our stores typically to a smaller size to ensure that the viability of the store stays intact. So. what y ou have said is absolutely correct , as we are going deeper and deeper into the country, we are fine tuning our store size to ensure

the viability of the stores . Because, quite honestly, in smaller towns the total revenue opportunity from a store in an abso lute sense is smaller than what it is in the larger towns. So , to ensure that we are consistent in terms of revenue per square foot, we fine tune the square footage, the size

of the store. So. your observation is absolutely correct. I wouldn't specifically give any forward - looking guidance, but I mean as we go deeper into India, that's inevitably going to happen.
Jignanshu Gor: That's a fair point, and I presume it will be counterbalanced by Maharashtra, Gujarat , Kerala, where your new territories , so you are targeting larger cities first in some shape.
Gunender Kapur: Yes.
Jignanshu Gor: Fair. I will come back in the queue. Thank you.
Gunender Kapur: But you have asked only one question, Jignanshu .
Jignanshu Gor: Okay , I am happy to ask a third.
Gunender Kapur: My colleague corrected me saying that you asked t wo. I am so sorry.
Jignanshu Gor: No, I will come back. Thank you.
Moderator: Thank you. The next question comes from the line of Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani: Thank you for the opportunity , sir. And congratulations on a great set of numbers. Sir, my first question is with regards to the tiering again . If you can help us out , given that you are going to

add 9 0, 95 stores every year going ahead , in which Tier -town s you would be adding these stores , if you can help us with?

Gunender Kapur: Sure. So. let me just give you a slightly broader answer , because the town and the store that we open depends on the availability of the property. But at this moment, we have 50 t owns above 1 million in India , of which we are present in 33. So there are 17 towns above 1 million where we need to go. Of which Pune , Nashik, Nagar, Ahmedabad, Baroda, Cochin and so on are the obvious large towns where we are going. So there are 17 virgin towns . In addition, in the existing 33 towns, we have an opportunity to add at least five towns per , rather five stores per town. So. that in a way defines the opportunity in towns above 1 million .

In towns lower than 1 million , there are 1 ,250-odd towns in India. Of which we are currently present in 450- odd towns. So , again , you can dimension the opportunity there, it will be let's say 800-odd stores. So. if you look at the 800 stores in small towns and, let's say , 160 stores in the 33 towns where we are present, and maybe 170 stores and towns where we are not present at the rate of 10 per town , it's 330 stores. So. the total opportunity in the smaller towns is 800 , in the larger towns i ts 300 to 400. So. I guess it will be logically more in the Tier -2, Tier-3 towns .

Gaurav Jogani: Just a follow -up to this. I mean , given that the expansion will be more in the Tier-2, Tier-3 towns , and you also mentioned that these Tier -2/3 towns would have smaller store size as well. So , would it be natural to expect the sales per square feet also would be lower here? Is that a right or fair assumption?

Gunender Kapur: No, not really because you see, I mentioned that the absolute level of revenue from the store would be lower, but we fine tune the size to ensure that the revenue per square foot remains consistent , between large and small towns .

Gaurav Jogani: Okay . And my second question -- sorry, sorry, you were saying something?

Gunender Kapur: No, no, I said if like, I can say it one more time in detail.

Gaurav Jogani: Sir, the second question was largely in regards to the margins bi t only. Given that you have seen good margin expansion , and there is also an increased competitive intensity on the value fashion as well as on the overall value side, so would you be using this opportunity of this margin e

xpansion to drive higher growth or would you be using these margins or retailing these margins?

Gunender Kapur: See, I will tell you what our game plan is. It is pretty much unchanged. We definitely want to own the opening price point across the entire gamut of categories that we do, right. And why is that important? Because you know that upgradation from mom-and -pop stores and the shift from low consumption to consumption are still big trends in the country , especially the move from the unorganized to organized sector . So we would like to facilitate the upgradation of customers from these two parts of the market into Vishal. So that's why we will always own the opening price points.

But at the same time we serve a very, very large segment of customers. So we will , at the same time, keep adding the higher price points on top . And that is equally important for us because our customers, as you know, spend at the time of festivals , or special occasions in the fami ly such as weddings and so on and so forth. So we want to keep our customers in our store by making that relevant merchandise also available. And finally, we are finding that we are getting more and more new customers every day of the year. Our number of bills , new bills is growing at a very healthy pace and therefore we also wish to attract customers for whom Vishal is convenient and who are somewhat more affluent and smarter and therefore want to shop at Vishal at great pricing. So we want to keep the sto re relevant for them.

So. two messages, one is that we will always own the open ing price point in every single category that we deal with. Secondly, in every category that we deal with , our endeavor would be to keep adding higher price points on top in a very systematic fashion for the relevant merchandise. Does that answer your question?

Gaurav Jogani: Sir partly, but just the thing that I wanted to understand was given that if there is an competitive intensity increase --

Moderator: I am going to interr upt, Gaurav, for any or for any follow -up questions , please rejoin the queue. Thank you.

Gunender Kapur: I can just say one line to you, Gaurav, that when I say that we will own the opening price point , it obviously means that we will be very price competitive , depending on what the other players

in the market are doing . So, it obviously means that if somebody is owning the opening price point or has an opening price point which is lower than ours, we will react in terms of pricing.
Moderator: Thank you, si r. The participant 's line has just dropped, s o we will move on to the next participant. And the question comes from the line of A bneesh Roy from Nuvama . Please go ahead.
Abneesh Roy: Yes. Congrats sir. I have just one question. I n terms of the FMCG, if you could talk about any down trading in any category, if you want to highlight . And in terms of the promotional intensity, say, in the tea , soaps or the oral care, again, anything you want to highlight there ? And private labels in FMCG, which are the ones wh ere I think traction is higher ?
Gunender Kapur: So. thanks for the question. Firstly, I would say , I am sure you know this, but a very large part of our FMCG business is our private brands . And by value, they would be around 35%, 36%. But by volume , they a re closer to 60% of our total revenue . So. therefore, if consumers and customers are looking for options which could be more affordable because of the inflationary trends or pressure on incomes or whatever reason, we have an option available in our stores which is , whilst it's lower in terms of pricing, but in terms of quality we guarantee that it's the same or better . So. that's how we have achieved a position where 60% by volume share in our stores is our private brands, which to the best of my knowledge is the highest amongst any retaile

r in the w orld. So , the purpose of private brands is to make high quality products affordable. So. yes, that option exists in the store and I am sure inflationary pressures on customers do motivate customers to shift to private brands. So. that I would support . In addition to that, we find that many of the customers are moving to larger packs, in FMC G specifically , because there they deliver better value. And lastly, I would say that FMCG business in the current times is very price competitive with all the key players that you are aware of competing aggressively. B ut we have an advantage in our private brands because if you are 40% to 50% lower in the market leader, then even if they discount by 10% to 15%, we still remain very price competitive.
Abneesh Roy: Thanks , sir. That's all from my side.
Gunender Kapur: Thank you.
Moderator: The next question comes from the line of Manish Poddar from Invesco As set Management. Please go ahead.
Manish Poddar: Hi. I just want to understand, let's say , for the full year what is the reported S SSG versus the adjusted SSSG gap?
Gunender Kapur: I would request Amit. Amit, can you explain that?
Amit Gupta: Yes. Manish, can you hear us?
Manish Poddar: Yes, you are loud and clear. I am just trying to understand if you could also tell the volume and price, if that can be shared also, that'll be great.

Amit Gupta: So. on your first point, t he difference between reported S SSG and adjusted S SSG is the impact of cannibalization. As you would imagine that we have few stores open in the same vicinity , and as a result of that this –
Gunender Kapur: Refurb .
Gunender Kapur: Yes, of course , the refurbishment also. And because of that, the volume of the older store gets reduced and shifts to the new store, which is still not an L FL store. So. that's the difference between the adjusted S SSG and the reported S SSG. And you would see the gap between the two is not material, it's just 30 basis points d ifference between reported and Adjusted .
Gunender Kapur: There is one more factor, in a cyclical way we refurbish our old stores. So. the store which is undergoing refurbishment and therefore shut also gets adjusted in the adjus ted SSSG . So there's 30 bps difference, which Amit highlighted , is a combination of both .
Manish Poddar: And sorry on the volume and the price bit , are you sharing the data?
Amit Gupta: No, we are not sharing that data.
Manish Poddar: Okay, okay . Just one more if I can. So, GK , we were trying the smaller format stores and it's been a while , in my understanding now it's been more than 12 months , just what is the feedback or how is the consumer response ? Or any sort of qualitative inputs from that would be helpful. Thank you.
Gunender Kapur: So. firstly, yes, I will speak about th e smaller format . But we started the new store sometime in the last quarter of last year, so currently the earliest store would be probably six months or thereabouts in ter ms of its aging . And I am , in a qualitative sense, happy to tell you that the response has been good . And as we speak, we have four or five of these stores, so we are expanding in the two states in which we had done the pilot. But I must quickly add in a s omewhat cautious way , till the time we open 30 , 40 stores and see the performance .
Manish Poddar: Okay . Thank you.
Moderator: The next the next question comes from the line of Latika Chopra from JPMorgan. Please go

ahead.
Latika Chopra: Yes, hi. Thanks for the opportunity. So. my first question was around average bill value, would it be possible for you to give some flavor on F Y '25 SSSG or revenue growth in terms of transaction growth versus increase in average b ill value ? If there's any qu alitative flavor if you cannot give quantitative color . The second question was on, you talked

about the ecommerce
bit, has there been a change in your strategy or trying to get more aggressive? And are there any material changes in your approach towards l ike local services in terms of delivery time, in terms of specific category focus, if you could elaborate a bit on that? Thank you.
Gunender Kapur: Thank you, L atika. On your first question, our average bill value is , I am being quite specific , around Rs. 875 per bill , and our number of bills is growing Y-o-Y at about 10% on a same store

basis, not including the new stores . So. the number of bills is growing by 10%, the average bill value is about Rs. 875. Coming to your e -commerce question, there has been no fundamental change in our approach. It is still a very differentiated model where we deliver from the store. So the way it works is that if you log into our app, you are tagged to the closest Vishal stor e. And the inventory which is available in that specific Vishal store becomes visible on your app. You can place an order and we can deliver to you , if you choose for the immediate delivery, we can deliver to you in a m ax of 30 minutes. And if you order for more than Rs. 299, we deliver it to you free. So those are the essential elements of our quick commerce initiative. Of course, while the broad plan has not changed, we are fine tuning it every month based on our experience. And I must say that , as I said earlier, it is making consistent and good progress.
Latika Chopra: Understood. Thank you so much.
Moderator: Thank you. The next question comes from the line of Tejas h Shah from Avendus Spark. Please go ahead.
Tejash Shah: Hi, GK. Congrats on a good set of numbers. The first question pertains to, when we look at retail from slightly broader lens , there is very heightened activity right from quick commerce players to modern trade , obviously , the competitive intensity was always there. And we are picking from some players that some factors of production like real estate and labor are actually getting costlier , especially at the mass end. So. just wanted to pick your brain on how you are seeing some of those factors evolving for us ?
Gunender Kapur: So, I will share with you our experience , and I am quite conscious that the experience may be different depending on where you operate, what is the size of properties that you are looking at , in what kind of towns and so on. We have not experience d any incremental difficulty in getting properties in the recent past . But I must quickly add to that that the availability of retail high quality compliant properties in India has always been a challenge. Because wherever you have a suitable property there are compliance related issues . The availability of suitable properties, especially as you go into smaller towns becomes lesser and lesser . And therefore , players like us are also open to build-to -suit properties which are specifically made for us because there are no sui table properties available .
In that context I am saying that in the last six months or one year we have not seen any increase in the level of difficulty in getting properties . It's always been difficult because as you go into small towns the availability of retail property is a challenge. And then to get properties which are compliant with all the regulations which apply on properties is further addition in terms of challenge. And y es, I mean , it will continue to be challenging, but as you know, there is more and more focus coming into Tier -2 and Tier -3 over the last one, two years . So. at some stage it could become more challenging , that I do admit.
Tejash Shah: And on labor?
Amit G upta : Sorry, you are not clear. Can you please repeat?

Tejash Shah: Yes, on labor , getting mass e nd labor is also difficult.
Gunender Kapur: S

o, labor, again, the availability, as you know, of train ed manpower in India is very limited in retail , because it is a very nascent industry. Therefore, for players like us who are rolling out rapidly across the country , you have to own the task of recruiting , training people on a continuous basis to provide staffing into our new stores at every level in t erms of store management. So , that continues to be a challenge . And you have to own that entire human resources challenge as

a Company and provide the training and experience in running stores , etc. almost on a continuous basis. Now , is your question relat ed to the cost of labor or only the availability of labor?
Amit Gupta: Tejas h, are you there?
Moderator: The participant has dropped s ir, so we will move on to the next participant, that is Rahul Agarwal from Ikigai Asset. Please go ahead.
Rahul Agarwal: Hi, sir. Good afternoon and thank you for the question. Sir two questions, both to increase my confidence on the continuation of sales growth and margins going forward. And I will ask both together and then maybe you can answer . Firstly on the margin side, and this point obviously would have been discussed with you that till date whatever geographies Vishal Mega Mart operates in, the cost has been very benign and very supportive of what margins you are making. But incrementally if you enter new markets which are more costlier , your margins might come down. I do not know how to think about it, but if you could good give me some three, four points on how does the business shape up five years out in terms of margins .
And similarly on store openings, real esta te, obviously , we have seen delays in terms of properties being available whenever we plan to open new stores, and we are almost talking about couple of stores per week going next 12 months. So. in case there are delays in terms of your own internal planning, would you plan like higher number of stores, 100, 1 10 and then you are giving us a number of 90? O r we should assume (+/ -10%) given the timing issues for properties across India are an issue anyway for entire retail ? Those are my two questions sir. Thank you.
Gunender Kapur: Okay . So. firstly let me clarify , I have not really given a number for FY ' 26. I have said that the number of stores that we are going to open will be in the same ballpark. And by that what I mean is that it will be around the same or similar number. And I have said that specifically for the reason that we will not ever chase a specific number , and in order to achieve that number take sub-optimal properties and open suboptimal stores. So. I would repeat that that we would be in the same ballpark. The number could be a few higher, few lower, etc.
Secondly, your comment is absolutely correct , that's the reality of real estate in India. So. what we do specifically, and I am sure each player have their own formula to deal with this . Over the years, we have experienced and quantified the number of stores which fall from the pipeline because of all the reasons that you mentioned, compliance reasons , delays , construction related issues, availability of construction label and all of that, especially during festivals when the labor tends to go back to their villages and so on. And we build that into our plan to ensure that we are
in the right ballpark in terms of the total number o f stores that we open. So. for example, between

properties which have been constructed and which have received occupation certificate on time. If there is a delta of 3%, we build that 3% into our plan and take 3% more properties , because we expect that kin d of dropouts to happen.
Rahul Agarwal: Right. And on the margin, sir ?
Gunender Kapur: On the margin front, see , I mentioned earlier that we are expanding into a new state which is Kerala where w

e are going very rapidly across the length and width of Keral a with an aggressive store opening plan. Now , obviously in Kerala we have tried , experimented with a model , and we have achieved good results . And that we will repeat in every new state that we go in. And once we have, only once we have fine -tuned our mix for that particular state in terms of store size, in terms of staffing, etc. , only then do we go for a rap rapid rollout. So. I can assure you that it's unlikely that we will end up with a lot of stores in some place where we do not meet our margin targets .
Rahul Agarwal: Alright, sir . Thank you so much. And wish you all the best for the following year.
Gunender Kapur: Thank you very much indeed.
Moderator: Thank you. The next question comes from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead. Devanshu, please go ahead with your question and unmute yourself in case if you are on mute. Since there's no response, we will move on to the next participant. The question comes from the line of Shirish Pardes hi from Motilal Oswal Financial Services Limited . Please go ahead.
Shirish Pardeshi: Yes. Hi, good afternoon. Thanks for the opportunity. On Slide # 6, I was more curious , though you have given the revenue from own brands has grown about 22% to around 7 ,800. I was more curious these six brands what you are reporting , is the growth is much higher, and sharper as compared to other 19 brands ?
Amit Gupta: Not really.
Gunender Kapur: No. Amit , you can take that .
Amit Gupta: Yes. So, no, that's not the case. The growth across all our brands is similar ly in the same range, it's pretty similar.
Shirish Pardeshi: Sorry , I lost you for the last 20 seconds.

Amit Gupta: I am saying, the growth across all our brands is in similar range , is that clear , Shirish ?
Moderator: Does that answer your question Shirish? Shirish, are you there? Since there's no response, we will move on to the next participant. The question comes from the line of Nihal Mahesh from HSBC Securities. Please go ahead. Nihal, please go ahead with your question please. Since there's no response, we will move on to the next participant that is Shrinarayan Mishra from Baroda BNP Paribas. Please go ahead.

Shrinarayan Mishra: Yes. Thank you, sir . So. my first question again was on t op six ow n brands, I could not hear you for last 30 , 40 seconds. So. can you highlight which are these six categories and how should we expect them to grow going forward?
Gunender Kapur: So. I will tell you which are the categories in which we have the top six brands . The number one brand in the Company is a brand called Brink which straddles apparel and general merchandise. So the biggest category under Brink would be T-shirts. And this brand has doubled in terms of its revenue from F Y '22 to F Y '25. And I think currently it is significantly more than Rs. 1,000 crores in terms of our revenue. The second biggest brand is a brand called Home Select, which is essentially in general merchandise. So. all the pots and pans and buckets and all that come under Home Select brand . And this brand has grown more than twice in ' 25 since FY '22. And its revenue is slightly short of Rs. 1,000 crores. The third biggest brand is Yellow Hippo, which is essentially in children's merchandise. So all our kids, infant clothing is sold under Yellow Hippo brand, and some of the FMCG products like soap for babies and so on, is sold under Yellow Hippo brand. So. these are the three examples of the three biggest brands that we have.
Shrinarayan Mishra: Okay . And now how should we expect them to grow ?
Gunender Kapur: I would assume that they would grow at a similar pace.
Shrinarayan Mishra: Okay, okay . And my second question was again on the margin. So. sir, since more and more of store expansi

on will be focused in smaller towns , so in terms of breakeven number of months, how would this compare with their big cities counterpart ?
Gunender Kapur: So, our typical breakeven in 18 months , and even in the smaller towns it is in the same range. Do recognize that 70% of our stores even today, w hich is let's say more than 450 stores are in Tier-2 and Tier -3 towns. So. we have a very good reference point and we have very good experience with these stores.
Amit Gupta: Just to clarify, when we say breakeven it is the payback that we are talking abo ut. Actually the breakeven is from the first month itself.
Shrinarayan Mishra: Okay, okay . Got it. Okay , thank you. Thank you so much, sir .
Moderator: Thank you. The next question comes from the line of Naman Maheshwari from Bres con. Please go ahead.
Naman Maheshwari: Hi. V ery good afternoon. A nd congratulations on a good set of numbers . The only thing that I wanted to clarify, I might have missed it is , was there any one-time aggressive buying made by these eastern towns where the impact of Kumbh woul d have been possible ? Were we able to witness a little aggressive buying on that front ?
Gunender Kapur: So. your question is that were we impacted in any significant way by the Kumbh festival ?
Naman Maheshwari: Yes, yes.

Gunender Kapur: So you see, inevitably, there was some positive impact in Allahabad, Varanasi, even Lucknow, etc., all the towns which are in the neighborhood of Allahabad. But it was temporary and, obviously , it's gone now. But they do not see any negative impact in any which way anywhere in the country.
Naman Maheshwari: Okay . So this should be like probably it is now coming onto a sustainable level even with an elevated base in these stores , which are in Allahabad and so on and so forth. A gain after the Kumbh also the growth has sustaine d in these stores, correct, is that the correct understanding?
Gunender Kapur: So, firstly , as I mentioned, there was no town which was adversely impacted. And our stores , specifically in Allahabad and Varanasi , they were growing at double digit during Kum bh, they are growing at double digit even now, same store sales growth .
Naman Maheshwari: Got it, got it. Thank you so much.
Moderator: The next question comes from the line of Arpit Shah from Stallion Asset. Please go ahead. Arpit, please go ahead with your question.
Arpit Shah: Yes, just wanted to understand the insights on what we can build in for SSSG going ahead? Historically you have done --

Gunender Kapur: Yes. So, I would not give any specific guidance on SS SG, same store sales growth or any numbers specifically . But I can only say that we generally remain optimistic about our same store sales growth into the future as well. You have seen the historical trends; they are in front of you.
Arpit Shah: And how shoul d we look at the quick commerce business going ahead? It's already contributing about 2% of our revenues , what kind of scale up are you looking over here and what kind of profitability you will be looking at this business ?
Gunender Kapur: So. this business is close to a cash break even. We have not really established the potential , because as I mentioned earlier, the business continues to grow. I also gave you some reference point that in our best towns, which are underserved markets , the e -commerce or the quick commerce business is contributing 3 % to 5% of our store revenue . And generally speaking , in the markets which are more like Bombay and Gurgaon and Delhi which are very well served, the contribution of quick commerce is 1 .5% to 2%. So those ar e numbers that we have experienced so far.
Arpit Shah: The way you have experienced the margins in the last one year, how do you think the margins would be for , let's say, in the next couple of years or maybe FY '24? O r yo

u are going to be reinvesting those margins for higher revenue growth? How should we look at margins going ahead?
Gunender Kapur: So. our general view on margins is that we wish to continue to grow aggressively. So. therefore, if reinvesting our sourcing benefi ts, which will be come more and more with growth, we would generally speaking first look at the option of reinvesting them to ensure sustainability of growth ,

if it does make any difference. I n some cases, like you could take the example of clothing , passin g on every 0.5% or 25 bps sourcing saving into pricing becomes difficult to execute , because then your pricing architecture gets ruined. So, yes, but generally speaking, if you recall our meetings during IPO, we want to maintain our margins at the current levels and keep growing fast.
Arpit Shah: So just to summarize Vishal Mega Mart as a business, so you would be a business which would where revenues would grow at 20%, 25% and PAT growth would be significantly higher than the revenue growth. And the busine ss model looks like that where we have adjusted ROCE closer to 70% and the store pay back closer to 1 .5 years. So. that that is the model we should be looking at even in the future, right?
Gunender Kapur: See, it's difficult for me to specifically validate any numbers for the future, but your thinking appears to be quite logical.
Arpit Shah: Got it, sir. And just a bookkeeping question , what will be the ESOP number s for FY '26?
Moderator: Those were your two questio ns, Arpit. I would request you to rejoin the queue. Thank you. The next question comes from the line of Deepak from Carnelian Capital. Please go ahead.
Deepak Malik: Yes, hi. Thanks for taking my question and congratulations on the good set of numbers , sir. So. just continuing from the previous participant question, s o if I have to take the outlook of the business over the next two to three years, then in terms of the same sales growth rate, we are growing at 12 % to 13% . Is it fair to assume that this growth rate will continue over the next two, three years? One.
Second, in the same number of stores opening, I think they are in the range of 90 to 100 a year . Over the next two, three years also a similar kind of number should be there ? That is two.
And third, in terms of private label which is currently at around 73% and which has increased over the last two years from 70 % to 73% , so going forward also will this keep on increasing as the focus will be more on the private l abels ?
And fourth, the product mix, which is the apparel, general merchandise and FMCG , that also broadly will remain in the similar level or will that change ? So. on these four things if you can give the outlook over the next two to three years , without giving the numbers, just give th e color on how do we think on this?
Gunender Kapur: So, great. Thank you very much for your question. See , again, I would request you to not expect me to comment on specific numbers. M y advice would be that the historical trends are all available on all th e things that you have mentioned, the same store sales growth, the category mix, the margin performance, s tore opening numbers for full year '25 we have made available today. I would repeat that , we opened 90 new stores this year. So , whilst I cannot comment on any of the specific numbers, I would say that looking at the historical trend would be a great way to think about the future.

Deepak Malik: Okay . Thank you for that. And my second question is , it is on the industry per say. So, h ow big is the TAM here? L ike since we already have around 700 stores and how big is the market in terms of the TAM? And second , how big is the contribution of the unorganized sector? Because I believe some parties also which is leading

to growth is the shift from unorganize d to organized.
If you can give some color on the industry part, it will be helpful.
Gunender Kapur: So. the TAM here would be more than 1 billion people , almost entirely the population of this country . Because the way we are looking at TAM, a nd I mentione d this earlier, there is a part of the market which is still not in the consumption space. And it's a small part fortunately for us, they are still in these survival phase in their revolution . We consider them also to be a part of a market , and that is the reason we are absolutely determined to own all the opening price points in every category because they can facilitate the upgradation of these forms from the survival phase into consumption phase.
As you rightly said, a very large dominant part of the m arket in many categories is totally unorganized , in fact , in almost every single category t hat we operate in. B ut we see merit in motivating customers to shift to Vishal. And I will just take one example. If you look at folks who are buying clothing in a V ishal store, you can try the merchandise, y ou can see how it looks on you, a ny new style, new fashion., You can try which size will fit you. None of this you can do in any mom and pop store . Equally then you can take a selfie and send it to your friend and get her approval or your siblings or your parents '. And last but not the least, if after doing all this you still get it wrong , you can come and return it and exchange it for something else.
And one more point which I would add is that , in Vishal, if yo u find that after two months your T-shirt has started fading. For quality, we have a no-questions -asked return policy. Even if you do not have your bill, you can come to a Vishal store , show that it's a Brink T -shirt where the color has faded and we will t ake it back and give you a fresh one or whatever. So we believe that there are lots of benefits which can accrue to our customers and consumers if they were to transition in clothing from, let's say, a mom- and-pop store into Vishal. So we are quite optimis tic about the totality of the market. That's my point that people who are currently not in the organized space or not even in the consumption space , we consider them to be a part of our target .
Deepak Malik: Okay . Thank you very much, sir . And all the very best.
Gunender Kapur: Thank you very much indeed.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Gunender Kapur , the MD and the CEO , to give his closing re marks.
Gunender Kapur: Well, in conclusion, I would like to thank each one of you one more time for taking out your time and spending the last one hour with us , and also for your interest in Vishal Mega Mart. We hope that we have managed to answer all your queries. But if we have not succeeded in that, please feel absolutely free to reach out to any of us and we would ensure that your question or

clarification is fully addressed. So , enjoyed our conversation, t hank you very much. A nd look forward to seeing you sometime.
Moderator: Thank you, sir . Ladies and gentlemen, on behalf of Vishal Mega Mart Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

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Date: May 05, 2025

To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G ,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Scrip Symbol: VMM To
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street , Mumbai – 400001
Scrip Code: 544307

Dear Sir/ Madam,
Subject: Transcript of Earnings Conference Call on results of the Company for the quarter and year ended March 31, 2025
Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, pl ease find enclosed the transcript of Earnings Conference Call on results of the Company for the quarter and year ended March 31, 2025 , held on Wednesday , April 30, 2025 . The copy of transcript is also available on the Company's website at https://aboutvishal.com/.

Kindly take note of the same.
Thanking you .

For Vishal Mega Mart Limited

____
Rahul Luthra
Company Secretary & Compliance Officer
ICSI Membership No: F 9588
Encl: As above

"Vishal Mega Mart Limited Q4 FY '25 and FY '25
Earnings Conference Call "

April 30, 2025

E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on April 30, 2025, will prevail.

MANAGEMENT : MR. GUNENDER KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Vishal Mega Mart Limited Q4 FY '25 and FY'25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only -mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Shikha Puri from Strategic Growth Advisors. Thank you and over to you , ma'am.
Shikha Puri: Thank you. Good afternoon, everyone . And thank you for joining us on Vishal Mega Mart Limited 's Q4 FY '25 and FY '25 Earnings Call . We have with us Mr. Gunender Kapur – MD and CEO ; Mr. Amit Gupta – CFO.
I hope everyone got an opportunity to go through our Financial Results and Investor Presentation uploaded on the Company 's Website and the Stock Exchanges. We will begin the call with opening remarks from the management , following which we will h ave the forum open for question -and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward -looking in nat ure, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier .
I would now like to invite Mr. Gunender Kapur , MD and CEO , to give his opening remarks. Thank you and over to you , sir.
Gunender Kapur: Well, than k you very much, Shikha . Very good afternoon, ladies and gentlemen. A very warm welcome to this call. What I will do very briefly is to speak about the Quarter 4 results and the quarter and the full year '25 results very briefly , give you a glimpse of some of the highlights , and then very quickly I will open the call for questions.
Firstly, on Quarter 4 '25, the Company did a revenue of Rs. 2,547 crores. This was a growth over last year , 23%. And in terms of same store sales growth, we achieved a number of 13.7% . (Note: This is Adjusted SSSG). The gross profit was Rs. 720 crores. The EBITDA was Rs. 357 crores. The Adjusted EBITDA , which is IndAS 116 adjusted, and pre -ESOP was Rs. 208 crores. Likewise, the PAT was Rs. 115 crores. Now , these are a lot of numbers. I am sure you have seen the numbers . The PAT grew by 88% over last year. The PAT margin was 4.5%. And the PAT number adjusted for ESOP s was Rs. 128 crores, more than 100% growth over last year and 5% margin .
Very quickly moving on to the full year performance . The Company did a revenue of Rs. 10,716 crores, which means the same store sales growth for the full year of 12.3% (Note: This is Adjusted SSSG). Likewise, the gross profit was Rs. 3,052 crores , an improvement of 23.8% over last year . And as a percentage of revenue, the gross profit was 28.5%. The EBITDA was Rs. 1,530 crores, which was a 22.6% growth over last year and an EBITDA margin of 14.3 %. Likewise, pre -ESOP and as per IndAS 116 the EBITDA was Rs. 1,033 crores , a growth of 38.7%

over last year , and represented a margin of 9.6% as a percentage of revenue. So. you will see that this clearly grew by 128 bps vis -à-vis last year. T he PAT was Rs. 632 crores, which represents 5.9% margin , 36.8% growth over last year. And finally, PAT adjusted for ESOPs was Rs. 676 crores , a growth of Rs. 45.5 crores over last year and represent a percentage margin of 6.3%.
Now that's a very brief and rather quick snapshot of the numbers. I would be very happy to clarify any of these numb ers during the course of the call . Over the year, we accelerated our new store opening plan and we opened 90 new stores. Now we are present in 458 cities in India and we occupy a trading area of 12.2 million square feet, which is, let's say , sl

ightly over 1.2 crore
million square feet. As you know, our own brands, private brands are a very important and crucial part of our business , and in fact, one very important dimension of differentiation vis-à-

vis everyone else . The private brands ' contribution grew to 73.1%, which is a clear 135 bps improvement over the last year. The category mix remain ed broadly the same or similar . Clothing contributes to 43.9% of our business, general merchandise 28.2% ; and FMCG 27.7%. And last but not the least, we had during the IPO presentation, spoken briefly about our quick commerce platform. So the progress there also has been consistent and good. Now our quick commerce initiative is available to the customers who live in the catchment of 656 stores across 429 cities in the country . And now registered users on quick commerce have increased to 8.7 million folks around the c ountry.

So that's very brief , again , highlights of the various initiatives which we had spoken about in the past. I will stop at this place now and I will be , along with my colleagues , I will be very happy to take the questions that you have.

Moderator: Thank you , sir. We will now begin with the question -and-answer session. The first question comes from the line of Jignesh Kamani fr om Nippon Mutual Fund. Please go ahead.

Jignesh Kamani: Yes. Hi, Gunender and Amit. Congratulations for a good set of number. Just on the gross margin , we have seen close to around 80 basis point s improvement on the Y-o-Y for the full year. So. if you take about few of the lever , like a higher set of private label, you can say strong brand pull, better sourcing , anything , so just can you highlight what are the key levers and which are the key reasons which contributed to gross margin improvement ?

And just adding to that on private label , which is close to 73% for you, we have seen a strong brand pull from many of the private brand s. And right now the private level is close to 40 % to 50% discount to national level brand s. So are you seeing there , because of strong brand pull, there is a scope to reduce some of the discounting in some of the key brand s and hence improve the gross margin ? Thanks

Gunender Kapur: Sure. Thank you very much for both the questions , they are great. Firstly, on the 80-bps improvement in gross margin, I will tell you three or four reasons which have contributed to this. The first and the obvious one is that our business is growing well , resulting in greater leverage with us in terms of sourcing and buying. So that's an import ant component of what's led to that

margin improvement. Secondly, as I mentioned slightly earlier , and you also alluded to that , the private label contribution has gone up by 135 bps over last year and that has also contributed to improvement in gross marg in. Lastly, as we spok e earlier, we are always trying to move customers from the lower price points to higher price points , and that is a continuous process. So that shift of a certain number of customers to higher price points has further led to an improvement of gross margins. So. these three factors put together add up to 80 b ps, and that's the improvement in the gross margin .

So. your second question was that, in view of the fact that our private brands are making great progress, are we loo king for reducing the discount at which we are selling these brands vis-à-vis national leaders? Not immediately as yet, because you see , there are two factors which go into the pricing of private brands. One of course is , as you mentioned, the discount ove r the market leaders and s o on. Secondly, our goal is also to drive penetration in these categories which still have no penetration . And one element of pricing is completely focused on seeing what is the price point at which they will become affordable for a signi

ficantly large number of consumers
and customers. So. it's a combination of these two. It's too early for us to claim that we have driven penetration to or saturated any of these categories in any significant way. So. we are not really looking at r educing the discount just as yet.

Jignesh Kamani: Understood. And follow -up question on growth wise , 13.4% kind of healthy SSSG for the full year, is there a growth across board? Or UP is doing very well versus South , Karnataka , or any sense on any diversion between various cluster s?

Gunender Kapur: Firstly, our same store sales growth, just minor correction , is 12.3% for the full year , for Quarter 4 it is 13.7% (Note: these are adjusted SSSG). Secondly, our growth across all our three businesses is pretty similar and in the same ballpark. And lastly, you will be happy to know that we have not seen any significant divergences of growth between East, North east, South and West. Of course, there are minor and insignificant differences, but nothing which is significant. They have all grown at the same ballpark.

Jignesh Kamani: Okay . Thanks a lot.

Gunender Kapur: Thank you.

Moderator: The next question comes from the line of Vivek Maheshwari from Jefferies Group. Please go ahead.

Vivek Maheshw ari: Hi, good afternoon GK and Amit.

Gunender Kapur: Hi, good a fternoon.

Vivek Maheshwari: A couple of points that I want to get more clarity on. So. first on the store additions , last year 90,

what do you think you should be doing in FY '26 as well as let 's say in the next three years on
an annual basis?

Gunender Kapur: In FY '26, I would not give any specific guidance , Vivek , if you can understand that . But we will
be in the same ballpark. And for the next three years, I would say that our endeavor is to add
more and more stores every year. So , I would be optimistic on the next two year period beyond
full year '26. And '26 we would be in the same ballpark.
Vivek Maheshwari: Okay . So. we can basically work with 90 what you have done last year , and project the next
couple of years at least?
Gunender Kapur: I would believe that to be very sensible, Vivek .
Vivek Maheshwari: Okay . And GK , of these 90 stores, let's say , in the next couple of years, how do you think about ,
let's say , getting into new markets, whether it's Kerala or Maharashtra versus the existing markets
especially , let's say , UP, Assam and Karnataka? Do you have a sense, or can you rather give us
a sense in terms of new versus existing territories within which, of course , the top three ?
Gunender Kapur: Sure, Vivek. And you picked up all the right territories which I had spoken about earlier in the
IPO presentation. I am very happy to inform you that we have double digit stores in Kerala now ,
and we are moving with speed in terms o f expansion into Kerala . At the same time , we have also
started small pilots which will just be rolled out, I suppose , in the next 30 to 60 days , both in
Gujarat and Maharashtra , to learn about that those two markets , because as you know,
historically we h ave not been there. So even those small pilots in these two states are in the final
stages of finalization and will come to fruition definitely in the next two, three months. Kerala
is going ahead with full speed at the moment.
Vivek Maheshwari: Got it. A nd what are your views from the existing top three markets ?
Moderator: I am sorry to interrupt, Vivek , those were you r two questions. I would request you to join back
the queue. Thank you. The next question comes from the line of She ela Rathi from Morgan
Stanley. Please go ahead.
Sheela Rathi: Thanks for taking my question. Just a follow -up on the store expansion plans . And GK, you
talked about piloting in markets like Maharashtra and Gujarat, so when you talk about the
expansion plans for the next th

ree y ears, does that incorporate the expansion into these two
markets also ? Or this will be beyond the existing plans of pursuing a expansion in the existing
markets? Just wanted a clarification on that.
Gunender Kapur: So. Sheela , it does include the expansion into Kerala . Maharashtra and Gujarat , as I mentioned,
we are going for the first time , and therefore we have to establish our , both, relevance and
viability in these two markets. So , I would say that the Maharashtra and Gujarat numbers are
not, in any agg ressive sense, fully baked in. But Kerala numbers are.
Sheela Rathi: Understood. Thank you for that. Sir my second question is on the e -commerce bit where you
talked about hyper local delivery , and we have 9 million users there already. Just want to
understand , especially from Tier-2 markets , because that's our forte , where are we seeing a
pickup in terms of e -commerce demand coming for us ?

Gunender Kapur: Sheela , again, I am happy to say that t he response from the Tier-2 and even Tier-3 markets has
been very encouraging. Obviously , the response in the markets, which are somewhat
underserved in terms of quick commerce, has been better because we are the only and the first
folks in towns to delive r the quick commerce benefit. So , in those markets we are touching, I
would say , let's say , 3% to 5% of our total store revenue from e -commerce . Whereas in the more
saturated , I mean saturated is not the right word , but the markets where all the other folk s are
also serving customers. Our contribution of quick commerce to the total revenue would be in the
ballpark of 1.5 % to 2%, at the moment . But it's growing every day , it's growing month after
month. So. I would say that it's a very consistent performance that we are seeing across the
country.
Sheela Rathi: And one quick bookkeeping question --
Moderator: Sorry to interrupt you, Sheela , those were your two questions. I would request you to fall back
into the queue.
Sheela Rathi: Sure.
Moderator: Thank you. The next question comes from the line of Jignanshu Gor from Bernstein. Please go
ahead.
Jignanshu Gor: Hi. Thank you for the opportunity. Hi, GK . Congratulations on a good set of numbers. I had two

questions, one macro and one micro. So the macro questio n is, given we have a very spread out network in terms of Tier-1/2 and 3, I wanted to understand, while you mentioned all the four regions are doing broadly similar, is there a difference in their demand environment , maybe especially for apparel that we are seeing , which is different in let's say the larger cities which are Tier-1 versus Tier-3. I think that's question one.

Gunender Kapur: Now Jignanshu, fair observation, but we have not seen any significant differences between Tier-1, Tier-2 and Tier-3 in terms of growth , and specifically the same store sales growth , pretty much in the same ballpark across the country. And ye s, I mean, that's been true of all our categories actually.

Jignanshu Gor: Okay . Alright. Then the second question is , over the last three years we have seen a reduction in the size of new stores which we are opening , right. As a result, the network average of stores has also reduced. So , how should we read this trend and think about it in the future ?

Gunender Kapur: So, Jignanshu , what's happening is that as we are going more and more into Tier-2 and Tier-3, specifically Tier-3 smaller towns, we fine tune the size of our stores typically to a smaller size to ensure that the viability of the store stays intact. So. what you have said is absolutely correct , as we are going deeper and deeper into the country, we are fine tuning our store size to ensure the viability of the stores . Because, quite honestly, in smaller towns the total revenue opportunity from a store in an absolute sense i s smaller than what it i

s in the larger towns. So , to ensure that we are consistent in terms of revenue per square foot, we fine tune the square footage, the size

of the store. So. your observation is absolutely correct. I wouldn't specifically give any fo rward -looking guidance, but I mean as we go deeper into India, that's inevitably going to happen.

Jignanshu Gor: That's a fair point, and I presume it will be counterbalanced by Maharashtra, Gujarat , Kerala, where your new directory , so you are targeting l arger cities first in some shape.

Gunender Kapur: Yes.

Jignanshu Gor: Fair. I will come back in the queue. Thank you.

Gunender Kapur: But you have asked only one question , Jignanshu .

Jignanshu Gor: Okay , I am happy to ask a third.

Gunender Kapur: My colleague corrected me saying that you asked t wo. I am so sorry.

Jignanshu Gor: No, I will come back. Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for the opportunity , sir. And congratulations on a great set of numbers. Sir, my first question is with regards to the tiering again . If you can help us out , given that you are going to add 9 0, 95 stores every year going ahead , in which Tier-towns you would be adding these stores , if you can help us with?

Gunender Kapur: Sure. So. let me just give you a slightly broader answer , because the town and the store that we open depends on the availability of the property. But at this moment, we have 50 towns above 1 million in India , of which we are present in 33. So there are 17 towns above 1 million where we need to go. Of which Pune , Nashik, Nagar, Ahmedabad, Baroda, Cochin and so on are the obvious large towns where we are going. So there are 17 virgin towns . In addition, in the existing 33 towns, we have an opportunity to add at least five towns per, rather five stores per town . So. that in a way defines the opportunity in towns above 1 million .

In towns lower than 1 million , there are 1 ,250-odd towns in India. Of which we are currently present in 450 -odd towns. So , again , you can dimension the opportunity there, it will be let's say 800-odd stores. So. if you look at the 800 stores in small towns and , let's say , 160 stores in the 33 towns where we are present, and maybe 170 stores and towns where we are not present at the rate of 10 per town , it's 330 stores. So. the total opportunity in the smaller towns is 800 , in the larger towns i ts 300 to 400. So. I guess it will be logically more in the Tier-2, Tier-3 town s.

Gaurav Jogani: Just a follow -up to this. I mean , given that the expansion will be more in the Tier-2, Tier-3 towns , and you also mentioned that these Tier-2/3 towns would have smaller store size as well. So , would it be natural to expect the sales per s quare feet also would be lower here? Is that a right or fair assumption?

Gunender Kapur: No, not really because you see, I mentioned that the absolute level of revenue from the store would be lower, but we fine tune the size to ensure that the revenue per square foot remains consistent , between large and small towns .

Gaurav Jogani: Okay . And my second question -- sorry, sorry, you were saying something?
Gunender Kapur: No, no, I said if like, I can say it one more time in detail.
Gaurav Jogani: Sir, the sec ond question was largely in regards to the margins bi t only. Given that you have seen good margin expansion , and there is also an increased competitive intensity on the value fashion as well as on the overall value side, so would you be using this opportun ity of this margin expansion to drive higher growth or would you be using these margins or retailing these margins?
Gunender Kapur: See, I will tell you what our game plan is.

It is pretty much unchanged. We definitely want to own the opening price point across the entire gamut of categories that we do, right. And why is that important? Because you know that upgradation from mom -and-pop stores and the shift from low consumption to consumption are still big trends in the country , especially the move from the unorganized to organized sector . So we would like to facilitate the upgradation of customers from these two parts of the market int o Vishal. So that's why we will always own the opening price points.
But at the same time we serve a very, very large segment of customers. So we will , at the same time, keep adding the higher price points on top . And that is equally important for us b ecause our customers, as you know, spend at the time of festivals , or special occasions in the family such as weddings and so on and so forth. So we want to keep our customers in our store by making that relevant merchandise also available. And finally, w e are finding that we are getting more and more new customers every day of the year. Our number of bills , new bills is growing at a very healthy pace and therefore we also wish to attract customers for whom Vishal is convenient and who are somewhat more af fluent and smarter and therefore want to shop at Vishal at great pricing. So we want to keep the store relevant for them.
So. two messages, one is that we will always own the open ing price point in every single category that we deal with. Secondly, in every category that we deal with , our endeavor would be to keep adding higher price points on top in a very systematic fashion for the relevant merchandise. Does that answer your questio n?
Gaurav Jogani: Sir partly, but just the thing that I wanted to understand was given that if there is an competitive intensity increase --
Moderator: I am going to interrupt , Gaurav, for any or for any follow -up questions , please rejoin the queue. Thank you.
Gunender Kapur: I can just say one line to you, Gaurav, that when I say that we will own the opening price point , it obviously means that we will be very price competitive , depending on what the other players

in the market are doing . So, it obviously means that if somebody is owning the opening price point or has an opening price point which is lower than ours, we will react in terms of pricing.
Moderator: Thank you , sir. The participant 's line has just dropped , so we will move on to the next participa nt. And the question comes from the line of A bneesh Roy from Nuvama . Please go ahead.
Abneesh Roy: Yes. Congrats sir. I have just one question . In terms of the FMCG, if you could talk about any down trading in any category, if you want to highlight . And in terms of the promotional intensity, say, in the tea , soaps or the oral care, again, anything you want to highlight there ? And private labels in FMCG, which are the ones where I think traction is higher ?
Gunender Kapur: So. thanks for the question. Firstly , I would say , I am sure you know this, but a very large part of our FMCG business is our private brands . And by value, they would be around 35 %, 36%. But by volume , they are closer to 60% of our total revenue . So. therefore, if consumers and customers are looking for options which could be more affordable because of the inflationary trends or pressure on incomes or whatever reason, we have an option available in our stores which is , whilst it's lower in terms of pricing, but in terms of quality we guarantee that it's the same or better . So. that's how we have achieved a position where 60% by volume share in our stores is our private brands, which to the best of my knowledge is the highest amongst any retailer in the world. So , the purpose of private brands is to make high quality products affordable. So. yes, that option exists in the store and I am sure in

flationary pressures on customers do motivate customers to shift to private brands. So. that I would support .
In addition to that, we find that many of the customers are moving to larger packs, in FMC G specifically , because there they deliver better value. And lastly, I would say that FMCG business in the current times is very price competitive with all the key players that you are aware of compet ing aggressively. B ut we have an advantage in our private brands because if you are 40% to 50% lower in the market leader, then even if they discount by 10 % to 15%, we still remain very price competitive.

Abneesh Roy: Thanks , sir. That's all from my side.
Gunender Kapur: Thank you.
Moderator: The next question comes from the line of Manish Poddar from Invesco Asset Management. Please go ahead.
Manish Poddar: Hi. I just want to understand, let's say , for the full year what is the reported SSSG versus the adjusted SSSG gap?
Gunender Kapur: I would request Amit. Amit, can you explain that?
Amit Gupta: Yes. Manish, can you hear us?
Manish Poddar: Yes, you are loud and clear. I am just trying to understand if you could also tell the volume and price , if that can b e shared also, that'll be great.

Amit Gupta: So. on your first point , the difference between reported S SSG and adjusted S SSG is the impact of cannibalization. As you would imagine that we have few stores open in the same vicinity , and as a result of that this –
Gunender Kapur: Refurb.
Gunender Kapur: Yes, of course , the refurbishment also. And because of that, the volume of the older store gets reduced and shifts to the new store, which is still not an L FL store. So. that's the difference between the adju sted SSSG and the reported S SSG. And you would see the gap between the two is not material, it's just 30 basis point s difference between reported and Adjusted.
Gunender Kapur: There is one more factor, in a cyclical way we refurbish our old stores. So. the stor e which is undergoing refurbishment and therefore shut also gets adjusted in the adjusted SSSG . So there's 30 bps difference, which Amit highlighted , is a combination of both.
Manish Poddar: And sorry on the volume and the price bit , are you sharing the data?
Amit Gupta: No, we are not sharing that data.
Manish Poddar: Okay, okay . Just one more if I can. So, GK, we were trying the smaller format stores and it's been a while , in my understanding now it's been more than 12 months , just what is the feedback or how is the consumer response ? Or any sort of qualitative inputs from that would be helpful. Thank you.
Gunender Kapur: So. firstly, yes, I will speak about th e smaller format . But we started the new store sometime in the last quarter of last year, so currently the earliest store would be probably six months or thereabouts in terms of its aging . And I am , in a qualitative sense, happy to tell you that the response has been good . And as we speak, we have four or five of these stores, so we are expanding in the tw o states in which we had done the pilot. But I must quickly add in a somewhat cautious way , till the time we open 30 , 40 stores and see the performance.
Manish Poddar: Okay . Thank you.
Moderator: The next the next question comes from the line of Latika Chopra from JPMorgan. Please go ahead.
Latika Chopra: Yes, hi. Thanks for the opportunity. So. my first question was around average bill value, would it be possible for you to give some flavor on F Y '25 SSSG or revenue growth in terms of transaction growth versus increase in average bill value ? If there's any qualitative flavor if you cannot give quantitative color . The second question was on, you talked about the ecommerce bit, has there been a change in your strategy or trying to get more aggressive? And are there any material changes in your approach towards li

ke local services in terms of delivery time, in terms of specific category focus, if you could elaborate a bit on that? Thank you.
Gunender Kapur: Thank you , Latika. On your first question, our aver age bill value is , I am being quite specific , around Rs. 875 per bill , and our number of bills is growing Y-o-Y at about 10% on a same store

basis, not including the new stores . So. the number of bills is growing by 10%, the average bill value is about Rs. 875. Coming to your e -commerce question, there has been no fundamental change in our approach. It is still a very differentiated model where we deliver from the store. So the way it works is that if you log into our app, you are tagged to the closest Vishal store. And the inventory which is available in that specific Vishal store becomes visible on your app. You can place an order and we can deliver to you , if you choose fo r the immediate delivery, we can deliver to you in a max of 30 minutes. And if you order for more than Rs. 299, we deliver it to you free. So those are the essential elements of our quick commerce initiative. Of course, while the broad plan has not change d, we are fine tuning it every month based on our experience. And I must say that , as I said earlier, it is making consistent and good progress.

Latika Chopra: Understood. Thank you so much.
Moderator: Thank you. The next question comes from the line of Te jash Shah from Avendus Sp ark. Please go ahead.
Tejash Shah: Hi, GK. Congrats on a good set of numbers. The first question pertains to , when we look at retail from slightly broader lens , there is very heightened activity right from quick commerce players to modern trade , obviously , the competitive intensity was always there. And we are picking from some players that some factors of production like real estate and labor are actually getting costlier , especially at the mass end. So. just wanted to pick your brain on how you are seeing some of those factors evolving for us ?
Gunender Kapur: So, I will share with you our experience , and I am quite conscious that the experience may be different depending on where you operate, what is the size of properties that you are looking at , in what kind of towns and so on. We have not experience d any incremental difficulty in getting properties in the recent past . But I must quickly add to that that the availability of retail high quality compliant properties in India has always been a challenge . Because wherever you have a suitable property there are compliance related issues . The availability of suitable properties, especially as you go into smaller towns becomes lesser and lesser . And therefore , players like us are also open to build -to-suit properties which are specifically made for us because there are no suitable properties available .
In that context I am saying that in the last six months or one year we have not seen any increase in the level of difficulty in getting proper ties. It's always been difficult because as you go into small towns the availability of retail property is a challenge. And then to get properties which are compliant with all the regulations which apply on properties is further addition in terms of challe nge. And ye s, I mean , it will continue to be challenging, but as you know, there is more and more focus coming into Tier-2 and Tier-3 over the last one, two years . So. at some stage it could become more challenging , that I do admit.
Tejash Shah: And on labor?
Gunender Kapur: Sorry, you are not clear. Can you please repeat?

Tejash Shah: Yes, on labor , getting mass end labor is also difficult.
Gunender Kapur: So, labor, again, the availability, as you know, of train ed manpower in India is very limited in retail, because it is a very nascent industry. Therefore, f

or players like us who are rolling out rapidly across the country , you have to own the task of recruiting , training people on a continuous basis to provide staffing into our new stores at every leve l in terms of store management. So , that continues to be a challenge . And you have to own that entire human resources challenge as a Company and provide the training and experience in running stores , etc. almost on a continuous basis. Now , is your question related to the cost of labor or only the availability of labor?
Amit Gupta: Tejas h, are you there ?
Moderator: The participant has dropped sir, so we will move on to the next participant, that is Rahul Agarwal from Ikigai Asset. Please go ahead.
Rahul Agarwal: Hi, sir. Good afternoon and thank you for the question. Sir two questions, both to increase my confidence on the continuation of sales growth and margins going forward. And I will ask both together and then maybe you can answer . Firstly on the margin side, and this point obviously would have been discussed with you that till date whatever geographies Vishal Mega Mart operates in, the cost has been very benign and very supportive of what margins you are making. But incrementally if you enter new markets which are more costlier , your margins might come down. I do not know how to think about it, but if you could good give me some three, four points on how does the business shape up five years out in terms of margins .
And similarly on store openings, real estate , obviously , we have seen delays in terms of properties being available whenever we plan to open new stores, and we are almost talking about couple of stores per week going next 12 months. So. in case there are delays in terms o f your own internal planning, would you plan like higher number of stores, 1 00, 1 10 and then you are giving us a number of 90 ? Or we should assume (+/-10%) given the timing issues for properties across India are an issue anyway for entire retail ? Those are my two questions sir. Thank you.
Gunender Kapur: Okay . So. firstly let me clarify , I have not really given a number for FY '26. I have said that the number of stores that we are going to open will be in the same ballpark. And by that what I mean is that it will be around the same or similar number. And I have said that specifically for the reason that we will not ever chase a specific number , and in order to achieve that number take sub-optimal properties and open suboptimal stores. So. I would rep eat that that we would be in the same ballpark. The number could be a few higher, few lower, etc.
Secondly, your comment is absolutely correct , that's the reality of real estate in India. So. what we do specifically, and I am sure each player have their own formula to deal with this . Over the

years, we have experienced and quantified the number of stores which fall from the pipeline because of all the reasons that you mentioned , compliance reasons , delays , construction related issues, availability of construction label and all of that, especially during festivals when the labor tends to go back to their villages and so on. And we build that into our plan to ensure that we are in the right ballpark in terms of the total number of stores that we open. So. for example, between

properties which have been constructed and which have received occupation certificate on time. If there is a delta of 3%, we build that 3% into our plan and take 3% more properties , becau se we expect that kind of dropouts to happen.

Rahul Agarwal: Right. And on the margin , sir?

Gunender Kapur: On the margin front, see , I mentioned earlier that we are expanding into a new state which is Kerala where we are going very rapidly across the leng th and width of Kerala with an aggressive store opening plan. Now , obviously in Kerala we have tried , experimented with

a model , and we have achieved good results . And that we will repeat in every new state that we go in. And once we have, only once we hav e fine -tuned our mix for that particular state in terms of store size, in terms of staffing, etc. , only then do we go for a rap rapid rollout. So. I can assure you that it's unlikely that we will end up with a lot of stores in some place where we do not me et our margin targets .

Rahul Agarwal: Alright , sir. Thank you so much. And wish you all the best for the following year.

Gunender Kapur: Thank you very much indeed.

Moderator: Thank you. The next question comes from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead. Devanshu, please go ahead with your question and unmute yourself in case if you are on mute. Since there's no response, we will move on to the next participant. The question comes from the line of Shirish Pardes hi from Motilal Oswal Financial Services Limited . Please go ahead.

Shirish Pardeshi: Yes. Hi, good afternoon. Thanks for the opportunity. On Slide #6, I was more curious , though you have given the revenue from own brands has grown about 22% to around 7 ,800. I was more curious th ese six brands what you are reporting , is the growth is much higher, and sharper as compared to other 19 brands ?

Amit Gupta: Not really.

Gunender Kapur: No. Amit , you can take that .

Amit Gupta: Yes. So, no, that's not the case. The growth across all our brands is similar ly in the same range , it's pretty similar.

Shirish Pardeshi: Sorry , I lost you for the last 20 seconds.

Amit Gupta: I am saying, the growth across all our brands is in similar range , is that clear , Shirish ?

Moderator: Does that answer your question Shirish? Shirish, are you there? Since there's no response, we will move on to the next participant. The question comes from the line of Nihal Mahesh from HSBC Securities. Please go ahead. Nihal, please go ahead with your question please. Since there's no response, we will move on to the next participant that is Shrinarayan Mishra from Baroda BNP Paribas. Please go ahead.

Shrinarayan Mishra: Yes. Thank you , sir. So. my first question again was on top six own brands, I could not hear you for last 30 , 40 seconds. So. can you highlight which are these six categories and how should we expect them to grow going forward ?

Gunender Kapur: So. I will tell you which are the categories in which we have the top six brands . The number one brand in the Company is a brand called Brink which straddles apparel and general merchandise. So the biggest category under Brink would be T-shirts. And this brand has doubled in terms of its revenue from F Y '22 to F Y '25. And I think currently it is signi ficantly more than Rs. 1,000 crores in terms of our revenue. The second biggest brand is a brand called Home Select, which is essentially in general merchandise. So. all the pots and pans and buckets and all that come under Home Select brand . And this brand has grown more than twice in '25 since FY '22. And its revenue is slightly short of Rs. 1,000 crores. The third biggest brand is Yellow Hippo, which is essentially in children's merchandise. So all our kids, infant clothing is sold under Yel low Hippo brand , and some of the FMCG products like soap for babies and so on, is sold under Yellow Hippo brand. So. these are the three examples of the three biggest brands that we have.

Shrinarayan Mishra: Okay . And now how should we expect them to grow ?

Gunender Kapur: I would assume that they would grow at a similar pace.

Shrinarayan Mishra: Okay, okay . And my second question was again on the margin. So. sir, since more and more of store expansion will be focused in smaller towns , so in terms of breakev en number of months, how would this compare with their big cities counterpart ?
Gunender Ka

pur: So, our typical breakeven in 18 months , and even in the smaller towns it is in the same range . Do recognize that 70% of our stores even today, which is let's say more than 450 stores are in Tier-2 and Tier-3 towns. So. we have a very good reference point and we have very good experience with these stores.
Amit Gupta: Just to clarify , when we say breakeven it is the payback that we are talking about. Actually the breakeven is from the first month itself.
Shrinarayan Mishra: Okay, okay . Got it. Okay , thank you. Thank you so much , sir.
Moderator: Thank you. The next question comes from the line of Naman Maheshwari from Bres con. Please go ahead.
Naman M aheshwari: Hi. V ery good afternoon . And congratulations on a good set of numbers . The only thing that I wanted to clarify, I might have missed it is , was there any one -time aggressive buying made by these eastern towns where the impact of Kumbh would have been possible ? Were we able to witness a little aggressive buying on that front ?
Gunender Kapur: So. your question is that were we impacted in any significant way by the Kumbh festival ?
Naman Maheshwari: Yes, yes.

Gunender Kapur: So you see, i nevitably, there was some positive impact in Allahabad, Varanasi, even Lucknow, etc., all the towns which are in the neighborhood of Allahabad. But it was temporary and , obviously , it's gone now. But they do not see any negative impact in any which way any where in the country.
Naman Maheshwari: Okay . So this should be like probably it is now coming onto a sustainable level even with an elevated base in these stores , which are in Allahabad and so on and so forth . Again after the Kumbh also the growth has sustained in these stores, correct, is that the correct understanding?
Gunender Kapur: So, firstly , as I mentioned, there was no town which was adversely impacted. And our stores , specifically in Allahabad and Varanasi , they were growing at double digit du ring Kumbh, t hey are growing at double digit even now, same store sales growth .
Naman Maheshwari: Got it, got it. Thank you so much.
Moderator: The next question comes from the line of Arpit Shah from Stallion Asset. Please go ahead. Arpit, please go ahead with your question.
Arpit Shah: Yes, just wanted to understand the insights on what we can build in for SSSG going ahead? Historically you have done --
Gunender Kapur: Yes. So, I would not give any specific guidance on SSSG, same store sales growth or any numbers specifically . But I can only say that we generally remain optimistic about our same store sales growth into the future as well. You have seen the historical trends; they are in front of you.
Arpit Shah: And how shoul d we look at the quick commerce business going ahead? It's already contributing about 2% of our revenues , what kind of scale up are you looking over here and what kind of profitability you will be looking at this business ?
Gunender Kapur: So. this business is close to a cash break even. We have not really established the potential , because as I mentioned earlier, the business continues to grow. I also gave you some reference point that in our best towns, which are underserved markets , the e-commerce or the quick commerce business is contributing 3 % to 5% of our store revenue . And generally speaking , in the markets which are more like Bombay and Gurgaon and Delhi which are very well served, the contribution of quick commerce is 1 .5% to 2%. So those are numbe rs that we have experienced so far.
Arpit Shah: The way you have experienced the margins in the last one year, how do you think the margins would be for , let's say, in the next couple of years or maybe FY '24? Or you are going to be reinvesting those margi ns for higher revenue growth? How should we look at margins going ahead?
Gunender Kapur: So. our g

eneral view on margins is that we wish to continue to grow aggressively. So. therefore , if reinvesting our sourcing benefits, which will become more and more with growth, we would generally speaking first look at the option of reinvesting them to ensure sustainability of growth ,

if it does make any difference . In some cases, like you could take the example of clothing , passing on every 0.5% or 25 bps sourcing saving into pricing becomes difficult to execute , because then your pricing architecture gets ruined. So , yes, but generally speaking, if you recall our meetings during IPO, we want to maintain our margins at the current levels and keep growing fast.
Arpit Shah: So just to summarize Vishal Mega Mart as a business, so you would be a business which would where revenues would grow at 20 %, 25% and PAT growth would be significantly higher th an the revenue growth. And the business model looks like that where we have adjusted ROCE closer to 70% and the store pay back closer to 1 .5 years. So. that that is the model we should be looking at even in the future, right?
Gunender Kapur: See, it's di fficult for me to specifically validate any numbers for the future, but your thinking appears to be quite logical.
Arpit Shah: Got it, sir. And just a bookkeeping question , what will be t he ESOP number s for FY '26?
Moderator: Those were your two questions, Arpit. I would request you to rejoin the queue. Thank you. The next question comes from the line of Deepak from Carnelian Capital. Please go ahead.
Deepak Malik: Yes, hi. Thanks for taking my question and congratulations on the good set of numbers , sir. So. just continuing from the previous participant question , so if I have to take the outlook of the business over the next two to three years, then in terms of the same sales growth rate, we are growing at 12 % to 13 %. Is it fai r to assume that this growth rate will continue over the next two, three years? One.
Second, in the same number of stores opening, I think they are in the range of 90 to 100 a year . Over the next two, three years also a similar kind of number should be there ? That is two.
And third, in terms of private label which is currently at around 73% and which has increased over the last two years from 70 % to 73% , so going forward also will this keep on increasing as the focus will be more on the private l abels ?
And fourth, the product mix, which is the apparel, general merchandise and FMCG , that also broadly will remain in the similar level or will that change ? So. on these four things if you can give the outlook over the next two to three years , without giving the numbers, just give the color on how do we think on this?
Gunender Kapur: So, great. Thank you very much for your question. See , again, I would request you to not expect me to comment on specific numbers. My advice would be that the historical trends a re all available on all the things that you have mentioned , the same store sales growth, the category mix, the margin performance , store opening numbers for full year '25 we have made available today. I would repeat that , we opened 90 new stores this year. So , whilst I cannot comment on any of the specific numbers, I would say that looking at the historical trend would be a great way to think about the future.

Deepak Malik: Okay . Thank you for that. And my second question is, it is on the industry per say. So, h ow big is the TAM here? Like since we already have around 700 stores and how big is the market in terms of the TAM? A nd second , how big is the contribution of the unorganized sector? Because I believe some parties al so which is leading to growth is the shift from unorganized to organized. If you can give some color on the industry part, it will be helpful.
Gunender Kapu

r: So. the TAM here would be more than 1 billion people , almost entirely the population of this coun try. Because the way we are looking at TAM, a nd I mentioned this earlier, there is a part of the market which is still not in the consumption space. And it's a small part fortunately for us, they are still in these survival phase in their revolution . We consider them also to be a part of a market , and that is the reason we are absolutely determined to own all the opening price points in every category because they can facilitate the upgradation of these forms from the survival phase into consumption phase .
As you rightly said, a very large dominant part of the market in many categories is totally unorganized , in fact , in almost every single category t hat we operate in. B ut we see merit in motivating customers to shift to Vishal. And I will just take one example. If you look at folks who are buying clothing in a Vishal store, you can try the merchandise , you can see how it looks on you , any new style, new fashion ., You can try which size will fit you. None of this you can do in any more in pop store . Equally then you can take a selfie and send it to your friend and get her approval or your siblings or your parents '. And last but not the least , if after doing all this you still get it wrong , you can come and return it and exchange it for something else.
And one more point which I would add is that , in Vishal, if you find that after two months your T-shirt has started fading. For quality, we have a no-questions -asked return policy. Even if you do not have your bill, you can come to a Vishal store , show that it's a Brink T -shirt where the

color has faded and we will take it back and give you a fresh one or whatever. So we believe that there are lots of benefits which can accrue to our customers and consumers if they were to transition in clothing fr om, let's say, a mom -and-pop store into Vishal. So we are quite optimistic about the totality of the market. That's my point that people who are currently not in the organized space or not even in the consumption space , we consider them to be a part of ou r target .

Deepak Malik: Okay . Thank you very much , sir. And all the very best.

Gunender Kapur: Thank you very much indeed.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Gunender Kapur , the MD and the CEO , to give his closing remarks.

Gunender Kapur: Well, in conclusion, I would like to thank each one of you one more time for taking out your time and spending the last one hour with us , and also for your interest in Vishal Mega Mart. We hope that we have managed to answer all your queries. But if we have not succeeded in that, please feel absolutely free to reach out to any of us and we would ensure that your question or

clarification is fully addressed. So , enjoyed our con versation , thank you very much . And look forward to seeing you sometime.

Moderator: Thank you , sir. Ladies and gentlemen, on behalf of Vishal Mega Mart Limited, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

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(Formerly known as Vishal Mega Mart Private Limited)
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Date: November 19 , 2025

To
National Stock Exchange of India Ltd. ,
Exchange Plaza, C -1, Block G ,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Scrip Symbol: VMM To
BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street , Mumbai – 400001
Scrip Code: 544307

Dear Sir/ Madam,
Subject: Transcript of Earnings Conference Call on results of the Company for the quarter and half year ended September 30, 2025
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, pl ease find enclosed the transcript of Earnings Conference Call on results of the Company for the quarter and half year ended September 30, 2025 , held on Friday , November 14, 2025 . The copy of transcript is also available on the Company's website at https://aboutvishal.com/.

You are requested to k indly take note of the same.
Thanking you .

For Vishal Mega Mart Limited

____
Rahul Luthra
Company Secretary & Compliance Officer
ICSI Membership No: F 9588
Encl: As above
Page 1 of 16

"Vishal Mega Mart Limited
Q2 FY '26 Earnings Conference Call "
November 14 , 202 5

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 14, 2025, will prevail

MANAGEMENT : MR. GUNENDER KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VISHAL MEGA MART
LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER –
VISHAL MEGA MART LIMITED

Vishal Mega Mart Limited
November 14 , 202 5

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY26 Conference Call of Vishal Mega Mart Limite d. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zer o on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rahul Agarwal from Strategic Growth Advisors. Thank you and over to you.

Rahul Agarwal: Thank you. Hi, good afternoon , everyone , and thank you for joining us on Vishal Mega Mart Limite d Q2 FY26 earnings conference call. We have with us Mr. Gunender Kapur , MD and CEO ; and Mr. Amit Gupta, CFO. I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the company's website and stock exchanges. We will begin the call with opening remarks from management , following which we will have the forum open for question-and -answer session.

Before we start, I would like to point out that some statement s made in today's call may be forward -looking in nature and the disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Gunender Kapur , MD and CEO to give his opening remarks. Thank you and over to you, sir.

Gunender Kapur: Well, thank you very much, Rahul. Very good afternoon, ladies and gentlemen, and a very warm welcome to this call. What I propose to do is to run you through the quarter two and first half presentation very quickly , so that we can maximize time for questions. So firstly, I'll cover the quarter two performance and then move on to the first half highlights of the performance.

In quarter two, we did a revenue of INR 2,981 crores. This was a growth of 22.4% over last year. Our adjusted same -store sales growth was 12.8%. Now one of the factors , which helped the September quarter performance, the Q2 performance, was the fact that we got the benefit of Durga Puja Festival, which is, as you know, a very popular festival in eastern India. And also, to a lesser extent, the benefit of Chhath Puja, which is again a popular festival in Bihar, East UP , etcetera.

So, we got these benefits in September quarter this year , whilst the numbers were reported in December quarter in the last year. So, therefore , that incremental revenue, we got it in September quarter this year and we will not get it in December quarter this year , whereas , last year, there was no benefit of these festivals in September quarter and all the benefit was reported in December quarter.

Moving on to EBITDA, the EBITDA for the quarter was INR 395 crores, which is a 30.5% growth over last year. And the EBITDA margin improved to 13.2% vis -à-vis 12.4% last year. PAT was INR 152 crores, which is a 46.5% growth over last year. And the PAT margin this quarter was 5.1% in the corresponding quarter last year, it was 4.3%.

Here we conclude the quarter two performance highlights and now I will move on to the first half performance highlights. In the first half of FY26, our revenue from operations was INR 6,122 crores. This was a growth of 12.6% over last year and our adjusted same store sales growth was 12.1%. Sorry, w e had a growth of 21.6% and the same store sales growth was 12.1%. So, in the first half, INR 6,122 crores revenue, growth of 21.6% over last year and adjusted same -store sales growth 12.1%.

The EBITDA in first half was INR 854 crores, which is a 27.8% growth over last year and an EBITDA margin of 13.9% in first half as against 13.3% last year. The PAT in first half was INR 358 crores, which is a 41% growth over last year and the PAT margin i

n the first half of this year was 5.9% vis -a-vis 5% last year. We maintained our accelerated new store opening momentum and opened 28 new stores over this quarter and overall, for the first half, we opened 51 new stores.

This takes the total store count to 742 as on September ’25 end and we have now presence in 493 cities in India. We added 19 new cities in the second quarter in line with our agenda of deeper penetration into India and coverage of the white spaces, which are still there. Our trading area stood at 1.28 crore squa re feet. As you know, own brands are a very important part of our strategy. The revenue in the first half of the year from own brands was 74.7%, which is a 185 bps improvement YOY. The category mix r emained essentially the same.

Our quick commerce expanded to 695 stores across 460 cities in the country and the registered users on quick commerce have increased to 1. 08 crore people.

Finally, to conclude, I would just add that we believe the government's initiative of GST rate rationalization is a very positive step towards stimulating consumption and Vishal remains

totally committed to pass these benefits to all our customers to enable long term inclusive growth for all the stakeholders.
Well, with this, I would like to thank you once again and I would request the moderator to open the floor for questions.
Moderator: Thank you very much. We will take our first question from the line of Vivek M from Jefferies . Please go ahead.
Vivek M: Hi, sir. My first question is on the SSSG numbers. Now, obviously, we have data only since the time you got listed and period around that, which has been double digit. I know this question was asked to you last quarter also, but instead of , let's say second half F Y'26, if you take a, let's say two, three year view, where do you think this number, let's say, settles at, let's say in two years from now o n the SSSG side?
Gunender Kapur: So, Vivek, firstly, thank you very much for your question. And it's great to speak to you again. But as you know, we do not give any forward-looking guidance at all. All I would say at this point in time, we are optimistic about the future, because there is a very happy confluence of three factors, which is going to play out. One is, of course, the GST rationalization, which I spoke about.

The second is, as you know, the income tax rates for the middle income group customers were rationalized on 1st of April. And last but not the least, while I'm not an agri -expert, but from what I've read or heard, since the rainfall for Kharif this year has been very good and somewhat extended, as you know, we should expect a good c rop. So, at this point in time, there is really no reason for us to be not optimistic about the future.
Of course, any macro events, which are based more on global rather than local events, cannot be totally ruled out. So, yeah, with that caveat, I would say that we are optimistic about the period that you spoke about.
Vivek M: I see. Okay. And second on the GST bit, GK, so I understand the part from a retailer standpoint, but what happens on the own -- so what have you done on the own label side, number one? And number two, the low GST will make you more competitive versus, let's say, the regional and the local brands, each of these markets. Is the second part of my point, do you concur with that? So, both sides, what have you done with the lower GST in the ow n labels and the second part?
Gunender Kapur : So, firstly, Vivek, on GST on third-party brands and on own brands is all entirely being passed on to customers to the extent of the GST reduction. So, we are not differentiating between the two. 100% of the rationalization benefits are being passed on.
On your second question, the view that I can share with you with certainty is that it is likely to have a positive impact on consumptio

n. Now how specifically will it play out vis -à-vis smaller regional players? I don't have a view right now because I don't have really the granular data for each one of them to see. My assumption is that they would all be passing on the GST benefits to the consumers and customers. If that hypothesis is true, then the relative price parity will remain essentially the same. Bu t consumption will have a positive impact. That I can say.
Vivek M : I see. Okay. And last question, if I may, which is basically on the first half, adjusted EBITDA margins are almost about 9.5%. And I'm talking about pre -IndAS -- pre-ESOP charge. What is your outlook, let's say, over the next 12 months -18 months on pre IndAS margins ? At what level do you want to cap it to?
Gunender Kapur: Okay. So, Vivek, I'll give a holistic answer to this question. If you recall, right from the IPO time, we've been saying that the game plan for this business is to maintain the gross margins. And that essentially continues to be our opinion and view. So, I do not either commit to or in any which way forecast that the margin improvements that we've seen thus far will necessarily continue in the future. And I hope that Vivek answers your question.
We are committed to ensuring that as we grow and our growth is largely volume growth, we get better and better buying efficiencies. And the margins, which may come because of better buying efficiencies, we have a plan to reinvest that either in product quality or in better pricing.
Vivek M : Got it. That's good to know. Wishing you and your team all the very best , GK and Amit .
Gunender Kapur: Thank you very much, Vivek.

Moderator: Thank you. We'll take our next question from the line of Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani : Thank you for taking my question, sir and congratulations on a great set of numbers. Sir you did highlight that Q2 was partially benefited because of an early festive of Durga Pooja and Chhath .

But we also gather that there were some regional disturbances in the Assam region. And you know, Assam has a very decent contribution to your overall growth. So, would that also have some offsetting negative impact during the quarter?
Gunender Kapur: Absolutely correct. So, we had two things in the quarter which were significant. One is that we had the somewhat or quite significantly extended monsoons this year. And they did cause some disruption which would inevitably impact the retail businesses. So that was one factor.
The second, as you said because of the very, very unfortunate passing away of the favorite singer for all of us, Zubeen Garg . There was a five-day mourning period in Assam where everything was shut. And that came bang in the middle of the peak Durga Pooja season. So, yes, you're absolutely right. That did have an impact on the revenue.
Gaurav Jogani : So, would you like to quantify the impact of this, especially the Assam thing, if any?
Gunender Kapur: Very, very difficult to quantify that specifically. I can say that it was significant in Assam. You see, because one cannot assume that the revenue that we lost in those five days is all a net loss. Because in several cases, the customers would go, and in the subsequent week, buy all the things that they were supposed to buy, or all that they wanted to buy. So, unless one engages with a very, very large cross -section of customers to figure out if ther e was any reduction in the purchases because of that five -day shutdown, very difficult to speculate on that.
Gaurav Jogani : Sure. And my second and last question is with regards to the store expansion. I mean, store expansion is as per what you have been guiding. But we have seen the expansion is largely in the southern market, because out of the 20 -odd stores opened during the quarter, a large part of it was opened in the s

outhern market. So, any specific focus? And we are also seeing a decline in the average squa re footage of the stores as well. So, anything that you would like to highlight here?
Gunender Kapur: Certainly. So, firstly, I would say that your observation is correct. We have opened a significant number of stores in the southern region. Firstly, as I mentioned in the last quarter call, we are getting a very good response from Kerala, which is one of the states that was mentioned. And of our total store openings four came from Kerala. Three came from Karnataka, which is an existing market for us. Four came from Telangana. And two came from Andhra Pradesh.
So, the total was 15 stores. But the rest of the stores were opened in the north and some in the west. As you know, we are also piloting Gujarat and Maharashtra. So, there were store openings in Gujarat in the quarter. And that will continue to happen. So, your observation is absolutely right. But in the second quarter, 15 out of 28 stores opened in the south. 13 opened in the rest of the country as well.

Moderator: Gaurav, I am sorry to interrupt. I request you to join back the queue, please, as we have other participants waiting for their turn.
Gaurav Jogani : Sure.
Moderator: Thank you. We will take our next question from the line of Devanshu Bansal from Emkay Global. Please go ahead.
Devanshu Bansal: Hi, sir. Good afternoon. Thanks for taking my question. Congratulations on a strong performance. Sir, I wanted to check. There is a GST reduction that has happened. And you have indicated that consumption should see a pickup. So, you did indicate that your average bill size pre this reduction was about INR 800. So, I wanted to check.
Are we sort of sustaining at that level? Because of this GST reduction, there is some level of reduction that has happened. The intent of asking this question is whether we have been able to sort of impress consumers to sort of spend more at the stores or consumers are sort of spending or taking the benefit of GST reduction themselves.
Gunender Kapur: So, what I would say, firstly, it's too early to, wi th data come to that conclusion just as yet, because as you know, there was a transition period of three -four weeks before everything settled.
But my assumption at this moment is that it would not impact our average bill value at all because I'm also quite optimistic that this will lead to an increase in overall consumption.
So, we anticipate one of the two scenarios. And most likely, both will play out with different customers. One is folks who are going to buy more things from the store. So, earlier, if they were buying eight items per bill, they could buy nine, for example.
The second thing also, which will inevitably happen is that folks who are desirous of buying a more aspirational, higher price point product may find that it's become somewhat more affordable right now. So, as a combination of the two, it is not our hypothesis that the average bill value will come down. But we will have in the next three months enough data to answer that with specificity.
Devanshu Bansal: Understood. And over on the portfolio level, sir, what is the GST reduction? Any quantifiable numbers that you can suggest?
Gunender Kapur: So, as you know, it's very different for different categories. In apparel, only 1% of our revenue

is impacted because, as you know, all products which are more than INR 1,000 earlier were paying higher GST. That has been reduced to INR 2,500. So, our products, which are between INR 1,000 and INR 2,500, which is a very small part of our revenue, the GST reduced from 12% to 5%. That number is significantly higher for general merchandise, where almost 34% of our revenue is positively impacted by GST reduction. And this includes categories like footwear, household, appliances, sports, and toys, w

here the GST has moved to 5% from a range of 12% to 18%.

And lastly, the largest impact would be on FMCG, where 50% of our FMCG revenue would be positively impacted by the GST reduction. So, yeah, as you can see, it's 1% in apparel, but 50% in FMCG. And in general merchandise, it's about 34% of our revenue.

Devanshu Bansal: Understood. Lastly, I wanted to understand, there are two new additions to your Board. There is some reconstitution that has happened. So, if you can highlight what is the strategic intent behind this? That's my last question.

Gunender Kapur: So, we have, in the period -- slightly longer period, we've had three wonderful additions to our Board. As you know, Neha Bansal is our Chairperson. And we've had the privilege of having Soumya also as our Independent Director. And I think as we announced yesterday, with the results, we also have now Mr. Yogesh Yadav, who is another very welcome addition as an Independent Director to our Board.

Devanshu Bansal: And from P artners , there is...

Moderator: Devanshu, I'm sorry to interrupt. May I request you to join back the queue, please? Thank you.

Devanshu Bansal: Sure.

Moderator: Thank you. Next question is from the line of Garima Mishra from Kotak Securities. Please go ahead.

Garima Mishra: Thank you so much for the opportunity. First question. GK, you've mentioned in the press release that a large proportion of your stores offer the quick commerce service, right? Can you give some colo ur on revenue contribution from e -commerce, quick -commerce to your overall revenue pie?

Gunender Kapur: Well, I can tell you the range, because as you know, all the stores are still not covered and they are getting added every month. So, the period for which they've been operational varies from a few weeks to more than a year. But the range falls almost between at the lower extreme 1.5 or thereabouts percent of our revenue and at the higher end, 9% plus of our revenue. So , that's the range in which we are operating.

And once we are fully rolled out and matured in all the stores, which have all been recently added, we would have a better overall number for this. But yeah, I mean, that's the range. And I would say 9% plus in such a short period is a pleasant surprise for us. But we are indeed getting even that much in some parts of the country , I wouldn't say majority of the country, but in a significant part of our revenue.

Garima Mishra: Got it. And just to follow up on this one. So , these revenues are attributable to individual stores and would thus be forming a part of the LFL calculation, right?

Gunender Kapur: Absolutely. You're absolutely right. These are attributed to the stores and therefore do part of the total revenue numbers that we are reporting. Can I just make one clarification on the prior question, please, because I understood the question as independent directors ? If I were to extend that to directors who are there from my investor side, there is the addition of Mr. Vageesh Gupta

from Partners Group to the Board also. So, the three folks I spoke about earlier were the independent directors. And Vageesh represents Partners Group on the board. Sorry, that's the comprehensive answer to the earlier question.

Garima Mishra : Got it. And I have one more question. Could you talk about any specific supply chain investments that the business might need? We've seen once in the past, there was a little bit of one-time investment that you needed to build up supply chain. Is there anything in the offing in the next couple of years that we should be looking out for?

Gunender Kapur: Absolutely. There will be further investments in the supply chain. I think I had mentioned in one of the earlier calls that we are making a 600,000 square feet warehouse in Haryan

a, close to Gurgaon.

And this would be a fully automated warehouse to ensure that we are not running out of warehousing capacity for our future growth. So, as that gets fully implemented, we would b e
putting up similar warehouses, but depending on the revenue in that particular zone, maybe of
somewhat different sizes in a very strategic fashion around the country.
Moderator: Garima, I request you to join back the queue, please. Garima, as there are other participants
waiting for their turn. Thank you. We'll take our next question from the line of Nihal Mahesh
Jham from HSBC. Please go ahead.
Nihal Mahesh Jham: Yes, good afternoon, Gunender and Amit. I have two questions. The first is, while you
mentioned the adjusted SSG looking at some store closures and cannibalizations, just if you could quantify the impact of the shift in festive of Chhath as well as Durga Puja into this quarter.
Had that not changed into the Q2 quarter, what would have been the ideal normal SSG?
Gunender Kapur: See, I'll give you my best estimate. And it'll be an approximate number because when the festival
dates change at this time of the year, the seasonality impact also changes. So, for example, if
Durga Puja and Chhath are later than last year, then the winter sales also come into play.
Likewise, the other way around also. So, it is very, very difficult to be that specific. But if you ask me for my best estimate, I would say it is probably 150 to 200 basis points.
Nihal Mahesh Jham: That is helpful, GK. The second question was on specifically the INR 99 price point in apparel.
Would it be fair to say that, at least anecdotally, looking at a lot of the other retailers that operate in your area, that you sort of have an exclusivity or very large market share in that price point,
if that is a correct infe rence.
And given recently, if you look at the fact that there has been an increase in aggression from the
likes of Meesho , where you do find a lot of listings less than INR 99 also. So, how do we plan
to differentiate ourselves versus a cheaper pricing of INR 50 - INR 60? Is it that the quality
improvement that you are speaking of is more at the starting price point in the apparel or will it be across the board? These two parts and I'll be done.
Gunender Kapur: So, firstly, it will be across the board. Secondly, I would like to just add one piece of information to complete the picture. The most fashionable, highest price points are growing the fastest. And

if you were to rank them, the middle price points are growing the second fastest . Both
significantly faster than our entry price point.
These are the price points where we've completely enhanced the fashionability and quality. And
that agenda, you will see unfolding further in spring, summer 20 26. For example, things like
higher cotton content, etc. in our apparel, clothing, even at the lower price points. So, yes, that's
correct. Equally, it is correct that we have price points lower than 99 already in the business.
And these are largely in kids' infant and other kids' clothing.
So, those price points which are less than 99 already exist with us. And yes , we will continue to
ensure that A, on quality and secondly, on pricing, we are very competitive.
Nihal Mahesh Jham: Just one follow -up there, that in the entry price point, if you see certain online competitors
getting very aggressive with pricing and quality, then what approach do we plan to take? Or is
it that we are confident with the current approach at this point in time?
Gunender Kapur: So, we have certain principles which we've been articulating. And I think I can say that those
would be carried forward in the future also. On the opening price point, we will be the most
competitive in the country. Now, I will clarify vis -a-vis all the organized sector retail, because
the mom -and-pop stores,

it's impossible for us to monitor anything, because there are so many,
as you probably know, millions.
So, in the organized retail, we will be the most competitive in terms of opening price point,
which can be easily compared across retail. Beyond that, I would further say that I remain confident that if the inflation situation remains as benign as it is right now, with that caveat, we
have no plans for price increases. But we will continue to upgrade our merchandise and keep
introducing new and more aspirational products beyond the current price range on the higher
side.
Nihal Mahesh Jham: Helpful, GK. Thank you so much.
Moderator: Thank you. Next question is from the line of Sagar Tanna from Alchemie Ventures . Please go
ahead.
Sagar Tanna: Hi, sir. At the start of the conversation, you mentioned about consumption likely to pick up,
thanks to GST, income tax rates, and you also mentioned about upgrading our inventory to
aspirational. Is it fair to assume that you see demand consumption coming back strongly over
the next few years compared to the last few years, and there would be some kind of up -trading
versus down-trading, which may have happened? And if yes, then how will it impact our private -
label business?
Gunender Kapur: Okay. So firstly, I would like to say that the price benefit that our private brands offer over the

third -party brands are very significant. They could be in the range of 20% to 45%, 50%.
Obviously , different for different private brands. The GST impact is relatively much smaller, the GST benefit. So, I'm not certain whether the competitiveness of our private brands will get impacted at all.

Secondly, as I mentioned in one of my earlier answers, we have even on our private brands passed on the GST benefits. So, I can assure you that there is likely to be no change in the competitiveness of our private brands vis -a-vis the third -party brands because of the impact of GST or increased consumption. In fact, I would believe that given their immensely higher affordabi lity, our private brands will participate very strongly if the consumption were to go up
in that upgradation process.
Sagar Tanna: Got it. And sir, any changes with respect to our capex plans, considering that consumption is likely to be more stronger than in the last few years?
Gunender Kapur: So, I will just reconfirm that we are going to be investing in supply chain, as I mentioned in one of the earlier answers. Secondly, I reconfirm that our agenda will remain accelerated store openings. Thirdly, our agenda will remain to cover the white spaces which we still have.
For example, I spoke about Kerala, I spoke about Gujarat, I spoke about Maharashtra, and there is another state where we are not present at the moment, which is Tamil Nadu. And last but not the least, as you know, we are expanding our omnichannel presence, and we will continue to invest behind that.
And yeah, I had also mentioned in one of the earlier calls that we are piloting a format for the smaller towns, which are ballpark 50,000 population. That pilot is also progressing well . And we will scale up that as well. So lastly, I would just like to assure you that we have enough cash on the balance sheet to fund all these plans.
Sagar Tanna: Got it. Thank you and all the best, sir.
Gunender Kapur: Thank you very much.
Moderator: Thank you. Next question is from the line of Aditya Bansal from Motilal Oswal. Please go ahead.
Aditya Bansal: Hi. Yes, thanks for taking my question. My first question is on the initial traction in Gujarat and Kerala. I see you have ramped up store additions there. So how has been the traction in those states, especially on the private l abel FMCG ?
Gunender Kapur: Okay. So let me specifically say that in Kerala, we are more mature than Gujarat and Maharashtra, in fact. So, as we speak, we have 16 st

ores fully operational in Kerala, and a
pipeline which is more than 16, of stores which are going to be open soon. In Gujarat and Maharashtra, our experience has been rather limited at this point in time. But nonetheless, the early signs are very positive. And based on that, we are already expanding beyond the pilot stores in both these states.
So, in, for example, quarter two, which ha s just finished, we've added two new stores in Gujarat, in addition to the one that we had opened earlier. And in Maharashtra, we have added one more store to the o ne that we had put up in pilot. So, we have a store in, I could be somewhat incorrect here, but I'm quite sure it's the right name. We have a store in Talegaon also in Maharashtra, in addition to the pilot store that we had opened in Pune.

So, as you can see, we are getting more confidence. And we are fine -tuning our format, the store size, and the merchandise, etc. But we are cautiously optimistic, and that is giving us enough confidence to add more and more stores to both these states.
Aditya Bansal: Thank you. The other question was on the divergence between SSG and the adjusted SSG. That has increased during this quarter, like, w hat would be the reasons for the same?
Gunender Kapur: So that is to adjust for the impact of a few things. One is the stores which we've had to close, right? So, they are removed from the base then. And that impact is removed because it's like-for-like comparison.
The second thing is that every quarter, it is our agenda to, at the same time refurbish more number of our stores. Because our stores require refurbishment four to five years after opening, to ensure that they remain aspirational and relevant for our custo mers. So that impact is also removed from the numbers.
And the last piece is that we right -size many stores, which is to say that it was earlier 25,000 square feet. And now we have found that actually what we need is 18,000 square feet after a few quarters of watching revenue.
So that impact is also included in these numbers. So, the three impacts which are included is

stores closed, stores which are shut for refurbishment, and the st ores which have been downsized. So that is the delta between, pure like-for-like sales and adjusted like -for-like sales. So, it's nothing beyond these kind of things.
Aditya Bansal: Thank you and all the best.
Gunender Kapur: Thank you very much.
Moderator: Thank you. Next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.
Manoj Menon: Hi, GK and Amit. Good morning. I have only one clarification on the quick commerce bit. In your data analysis, what are you finding? Is it new consumers coming in? I know that you mixed up new versus the current set of consumers. But some colo ur on, let's say , the new customer or new consumer recruitment ?
Gunender Kapur: Well, absolutely. Firstly, good to speak to you again, Manoj. Our data suggests at this point in time, with a caveat that in some cities we are there for long and in some cities, we've just recently entered, about 20% of our e -commerce customers are coming to the Vishal franchise for the first time through the e -commerce route.
So that has been, as you can imagine, a very pleasing outcome for us because e-commerce is helping us add new customers to our franchise. And while I do not have a data-based profile of these folks, my assumption is that these are the most, more relatively younger customers because e-commerce fits into their lifestyle much better than off line stores.

Manoj Menon: Interesting. Interesting. And that's an excellent outcome. Maybe at a much lower customer acquisition cost actually. The second one, if I may, some call I heard about the pleasing comments about the T AM expansion, part

icularly in some of the southern states, etc. Any qualitative colo ur subject to, obviously, confidentiality and maybe not putting the public domain ?
Any qualitative colo ur which you can tell about the twe aks which you have done, the learnings, etcetera, etcetera, which kind of would indicate maybe there is faster growth possible in this new geography?
Gunender Kapur: So, Manoj, just help me, just, can you just repeat the question because I lost a few seconds in between.
Manoj Menon: No. First, I was asking what’s subject to whatever you can disclose to the public domain, of just trying to understand, let's say, the newfound confidence, if I can use that word, let's say, in expanding faster in Kerala, what are the tweaks you have done, what are those experiments ? And it seems that finally you have arrived at the right marketing model here.
Gunender Kapur: So, ye s, very happy to answer that question, Manoj. So, the biggest difference that we ’ve made is to our store size , because in Kerala, as is well known, but we sort of rediscovered that Kerala is a conti nuous state. There is the population and the catchment and the residential and the commercial places never end. It's just continuous . Unlike some other parts of the country where you exit a city and you reach the other city after one hour, one and a half hours or whatever.
Now, therefore, in our attempt to be closer to the customers all the time and for their convenience, we are probably going to open more number of stores than earlier planned, closer to our customers, but of a smaller size. So, yes , that's been the fine tuning that we've done. And secondly, but not surprisingly, we are finding very, very good response to both our fast fashion offerings and to our private brands in Kerala.
Manoj Menon: Understood. Thank you so much and all the best. And that's it separately sir .
Gunender Kapur: Thank you very much, Manoj.
Moderator: Thank you. Next question is from the line of Prerna Jhunjhunwala from Elara Securities. Please go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity and congratulations on set of results. Just wanted to understand the revenue mix category -wise. Is there any effort being taken to improve the revenue mix in any of the categories or we are comfortable with this mix that is there in the system right now?
Gunender Kapur: Okay. So, thank you, Prerana. Right from the IPO time, we've been saying that our category mix is optimized and it will remain by and large the same. And as you may have seen in the various quarters, with some up and down based on either the seasonality or the impact of festivals, the revenue mix goes up a little , or comes down a little in favor of something or the other. But our intent is and our view is that it will largely remain constant.

Prerna Jhunjhunwala : Okay. And the revenue share from the own brands, the thought remains the same that it should be near these levels?
Gunender Kapur: So, our endeavor would be to keep increasing it, but at a pace , which is obviously much slower than what we had when the revenue contribution was, let's say, 30%, 40%, 50% simply because of the fact that now the private brands contribute 74%-75% to our revenue. So, our endeavor is to make sure that it keeps going up, even if it is at a smaller pace, lesser pace.
Prerna Jhunjhunwala : Understood. My second question is on capex . You alluded capex on supply chain and there will be capex on store as well. Could you just help us with some clarity on how much should we look forward that you will be spending on each of these categories in FY26 and FY 27?
Gunender Kapur: So, Prerna, my apologies. I won't be able to share any specific numbers with you, but the general principle and what we are proposing to do as a plan, I articulated in response to an earlier question. And if you wish for me

to repeat that, I'm very happy t o do that.
Prerna Jhunjhunwala : No, not required to repeat the earlier ones. No problem. If you cannot give me a number, no problem. Third question on our ESOP expenses. They have been coming down. Do you think that they will come down further with time or this is the expense that will continue for some time, given the layout in the system? Just wanted to understand the ESOP expense, since you've been categorically mentioning about it in the presentation.
Gunender Kapur: So, as you know, it's impossible to be totally accurate on that one , because we have employees who get promoted and new employees who come and who are entitled to ESOPs, etc. But to give some colo ur to you on your question, I can invite Amit to speak on that in a more generic sense. Amit, all yours.
Amit Gupta: So, Prerna, as you heard from GK, as far as the existing cost is concerned, that will keep coming down depending upon the phasing. But as GK also said that we can't comment on the future expenses on ESOPs.
Prerna Jhunjhunwala: Sir, thank you. Thank you so much and all the best .
Moderator: Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.
Bharat Sheth: Hi, sir. Congratulations and thanks for the opportunity. On Quick Commerce side, if you can give a little more colo ur about the aspiration, what size of Quick Commerce expanding to various geographies and what size of sales we anticipate from – through Quick Commerce overall , and how the pricing is different from the in-store and through Quick Store , or if you give - ROCE is different because of same capital cost without additional capital cost, we can do business.
Gunender Kapur: Okay. So, I can just give you some colou r that we are fully aware of at this moment. Firstly, our revenue profile in a town quite directly depends on the number of players in Quick Commerce in that particular city. So , I can say it's generally speaking through that where we have less number of players, our contribution from Quick Commerce to the overall store revenue is higher.

So that we have a number of stores now , which are both in small towns and large towns to be able to say that.
Secondly, it's true that our FMCG contribution in Quick Commerce is significantly higher than what it is in the stores, right? So, as you know, in the stores, our FMCG contribution is above 27%, 28%, whereas , in Quick Commerce, not surprisingly, our FMCG contribution is north of 70%. So, the dominant contribution is from FMCG.
Thirdly, based on the second point, I can state that our gross margin is , therefore , lower than the store gross margin because of the higher contribution of FMCG.
The fourth thing I would tell you is that there is an additional delivery cost associated with delivery in Quick Commerce, which is incremental to the store, totally incremental to the store.
And last but not the least, we are very excited to note that specifically in FMCG, our contribution of private brands to our total revenue is higher than what it is in the physi cal stores.
So, the traction for private brands is even higher amongst our Quick Commerce customers compared to what it is in offline retail. So, these are the five things which I can specifically mention to you because we have observed that over the last one year.
Bharat Sheth: Great. Has it been calculated, this Quick Commerce sales in SSG growth number, if you can clarify?
Gunender Kapur: So, our growth has been a very, very strong double digit in terms of SSG in Quick Commerce. But all those numbers are included in our overall growth numbers. So, it is just a subset of that. It is not incremental to that.
Bharat Sheth: Okay . Last question, sir , in your opening remarks, you stated that we are looking to grow the stores, smaller size store in 50,000

kind of a town, Tier 2, Tier 3, Tier 4. So, if you can give what level, I mean, we started pilot and how do we look at, or which geography are we looking and how different SKU will it have?

Gunender Kapur: So, we have indeed started a fairly, now at this stage with new store additions in that format, a fairly extensive pilot. We have nine stores in pilot today in the small format and more number of stores would be added this quarter also. And since we are addin g stores, I can say that obviously, we are feeling more and more confident about that format.
Bharat Sheth: Okay. Will it – thank you.
Moderator: Bharat, I request you to join back the queue, please.
Bharat Sheth: Sure. Thank you.
Moderator: We'll take our next question from the line of Percy Panthaki from IIFL Securities. Please go ahead.
Percy Panthaki: Hi, GK, Amit and team. Good afternoon.

Gunender Kapur: Good afternoon, Percy .
Percy Panthaki: I had a couple of questions. One is on the margin. So, in response to earlier question, you had mentioned that the endeavor is to keep the gross margin constant and any further gains you will reinvest in the business. My question is that you will get some operating leverage benefits below the gross margin. So, will you reinvest that also or that could actually result in some EBITDA margin increase going ahead?
Gunender Kapur: So, Percy , my comment was specific to gross margins, not to the EBITDA margin. We will inevitably with higher growth get the benefit of EBITDA margin improvement in our P& L.
Percy Panthaki: Got it. Got it. Secondly, just wanted to understand your success on SSSG a little better. You have consistently delivered double -digit SSSG in an environment where almost every other retailer is struggling for growth.
And also on an absolute basis, if you look at the growth in consumption spends or economy, one would expect that a normal SSSG level for any company would be, let's say, a 5% to 7% kind of SSSG. And you are clocking clearly above that. So that means that t here must be certain specific drivers for this high SSSG, which probably remain for a few years but can't remain forever.
So, my question is, can you call out what these drivers are, both in absolute terms and what you are doing different versus the other retailers? And also, how long of a runway do you have before the SSSG normalizes to a mid -single -digit kind of a level?
Gunender Kapur: Well, the last part of your question is something which I would hope that it doesn't happen. And at least it doesn't happen in the time frame that we can speak about Percy. So let me answer that first because as you know, organized retail is a very small part of the total consumption in the country. The dominant consumption is still with mom -and-pop stores.
And the second piece is that there are a very significant number of Indians who are still not a consuming class . They are still out of the consumption bracket. And so that scenario is something that we are not building into our plans just as yet, given the opportunity for growth.
In response to your other question, what is it that we are doing? Let me add some specificity to that so that it's helpful. See our same -store sales growth is driven by three factors. And I can tell you relatively how they are playing out at the moment. One is new customers and customers who are buying more number of items, which leads to volume growth. You would notice that a very large part of our growth today is coming from volume growth, right . So, it's driven by volume growth.
The second part of our growth would come from people who are upgrading to higher price points. As I mentioned in my earlier comments, that we are specifically adding significantly more fashionable or better merchandise beyond the highest price point that w e have currently across the board to fac

ilitate the upgradation of our customers to higher price point and better products. So, we are seeing some signi ficantly smaller impact of that, also in our growth.

And the third element could be the upgradation from either mom -and-pop stores or indeed from folks who are not even in the consuming class at the moment. And I have during the last 45 minutes or so, underlined the fact that our commitment to competitivenes s and relevance of opening price points would not get diluted. And both that commitment and investment in pricing is to drive or to facilitate people from upgrading to Vishal from either mom -and-pop stores or not even from the consumer.
So that's the sort of framework, Percy. And I've added some colou r to that vis -à-vis the current context to provide a comprehensive response to your question.

Percy Panthaki: Got it, got it. Can I squeeze in one more quick question?
Gunender Kapur: It's the lady's decision. I'm not the one who decides, Percy. Of course, Percy, you can ask.
Percy Panthaki: Yes, okay. So, are we, I mean, is the board or anyone actively looking for your successor, GK, or that is still a few quarters away, that process?
Gunender Kapur: See, let me answer the second part first. My sense is that I'm going to be here for foreseeable future and it will entirely depend on the decision of the board, obviously. But I can, from my side, give you reassurance that I wish to be around. So, there is no, but the time plan is something which the board decides and it's entirely the board's decision.
My commitment more means that I will continue to support this company in whichever way I can into the future. So that is my view. The second thing I would say is that I think the board is continuously looking for possible potential successors, both from outside and inside the company. That is a process which a board follows all the time.
Percy Panthaki: Got it. Thanks. Thanks for all your answers.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I now hand the conference over to Mr. Gunender Kapur for closing comments. Over to you, sir.
Gunender Kapur Well, once again, thank you very much, everyone, for being interested in Vishal and participating in this call. I deeply appreciate that. And I wish you all the very best because, to you and your families, because I'm aware of the fact that I could speak and all of us could speak only in the next year now. So, my best wishes to you and your loved ones. And once again, thank you very much. Thank you, sir.
Moderator: Thank you, sir. On behalf of Vishal Mega Mart Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

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Date : January 30, 202 6
To
National Stock Exchange of India Ltd. ,
Exchange Plaza, C -1, Block G ,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Scrip Symbol: VMM To
BSE Limited
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Dear Sir/ Madam,
Subject: Transcript of Earnings Conference Call on results of the Company for the quarter and nine months ended December 31, 2025
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Earnings Conference Call on results of the Company for the quarter and nine months ended December 31, 2025 , held on Wednesday , January 28, 202 6. The copy of transcript is also available on the Company's website at https://aboutvishal.com/ .
You are requested to k indly take note of the same.
Thanking you .
For Vishal Mega Mart Limited
____
Rahul Luthra
Company Secretary & Compliance Officer
ICSI Membership No: F 9588
Encl: As above

"Vishal Mega Mart Limited
Q3 FY'26 Earnings Conference Call"

January 28, 2026

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on January 28, 202 6, will prevail .

MANAGEMENT : MR. GUNENDER KAPUR – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , VISHAL MEGA MART LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER, VISHAL MEGA MART LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY26 Earnings Conference Call of Vishal Mega Mart Limited.
As a reminder all participant lines will remain in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded.
I will now hand the conference over to Ms. Shikha Puri from Strategic Growth Advisors for opening remarks. Thank you and over to you, Shikha.
Shikha Puri: Thank you. Good afternoon everyone and thank you for joining us on Vishal Mega Mart Limited's Q3 FY26 and 9 -month FY26 Earnings Conference Call .
We have with us Mr. Gunender Kapur – MD and CEO, Mr. Amit Gupta – CFO.
I hope everyone got an opportunity to go through our Financial Results and Investor Presentation uploaded on the company's website and the stock exchanges.
We will begin the call with opening remarks from the management, following which we will have the forum open for question -and-answer session.
Before we start, I would like to point out that some statements made in today's call may be forward -looking in nature and the disclaimer to this effect has been included in the earnings presentation shared with you earlier.
I would now like to invite Mr. Gunender Kap ur – MD and CEO, to give his opening remarks. Thank you and over to you, sir.
Gunender Kapur: Thank you very much and a very good afternoon, ladies and gentlemen. A very warm welcome to this call. I will very briefly take you through the Q uarter 3 FY26 and 9 -month of FY26 results and some of the highlights and then we will open the call for Q&A.
Firstly, on the Q uarter 3 'FY26 highlights :
In this quarter, the company did revenue from operations of Rs. 3,670 crores. This was a growth of 17% over last year. Our adjusted same -store sales growth for Q uarter 3 was 9.6%. This is after accounting for the fact that the Durga Puja sales this year fell in Q uarter 2, whereas last year they fell in Q uarter 3. So, it is the adjustment of 2.1%, which we had also mentioned in Quarter 2 call. The EBITDA for the quarter was Rs. 605 crores, which was 19.8% growth over last year and our EBITDA margin stood at 16.5% vis-à-vis 16.1% last year. PA T was Rs. 313 crores, which is a 19.1% growth over last year and PA T margin stood at 8.5% vis-à-vis 8.4% last year.

Now, I will quickly move to the first three quarters ' highlights, the 9 -month highlights :
Now, you would recognize that in the 9 -month numbers, all seasonality gets equal between the two years so, those are, let's say, totally comparable numbers. In 9 months of FY26, the company did revenue from operations of Rs. 9,792 crores. This was a growth of 19.9% over last year. Our same -store sales growth adjusted stood at 10.3%. So, this is the real number for the first 9 months because the impact of Durga Puja or any other festival shifting from one month to the other has been completely neutralized in the same -store sales growth number of 10.3%. EBITDA was Rs. 1,459 crores, which was a 24.4% growth over last year and an EBITDA margin of 14.9% vis-à-vis 14.4% last year. PA T was Rs. 671 crores, which is a 30% growth over last year and PA T margin stood at 6.9% vis-à-vis 6.3% of last year.
We sustained our accelerated new store opening momentum and in Quarter 3, w e opened 29 new stores. 12 of these were in South India, in the state of Kerala, Andhra Pradesh, Karnataka. We also opened 2 new stores in Gujarat, where we have a total of 6 stores now and 2 in Maharashtra (Erroneously spoken as 2 in Maharashtra, it is to be read as 1 in Maharashtra) , where we have a total of 4 stores no

w. This is consistent with our growth strategy that we had articulated. We further opened 4 new format stores. We have a total of 10 small format stores, and these are doing quite well.
For the 9 -month period, total new -store openings stand at 80. You would recall that at the time of our IPO, we had guided to 80 to 100 new stores every year. So, for the current financial year, we will end at the upper end or slightly over 100 stores vis-à-vis that guidance. Our total store count now stands at 771 as of December end and we are present in 517 cities in India. We added 24 new cities in this quarter. Our trading area stood at 13.2 million square feet. Our own brand's contribution to revenue ha s further gone up by 100 basis points and now stands at 74.5% for the first 9 months of the year.
Further, our quick commerce initiative has expanded to 723 stores across 485 cities in the country and our registered users on quick commerce have increased to 12 million people across the country. We believe that India is poised for the next wave of consumption growth aided by

initiatives such as GST rate rationalization and reforms in direct taxation and are very optimistic about the positive impact that these changes could have on our business in the years to come. With these brief opening remarks, I would now turn to the moderator to start the Q&A session and I would be very happy to answer any and all the questions that you may have.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. We take the first question from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, thanks for the opportunity. GK, the normalized SS G, as you mentioned, is closer to 10%. I wanted to check if this is the run rate that we should consider or there was additional short -term weakness due to delayed winters. And even at the start of the year, there was some prepone ment

of these, which happened in Q4, which may have had some incremental impact. I wanted to check if there were some additional weaknesses in this 9 -month performance.

Gunender Kapur: Nothing significant. I would say that the first 9 -month SSG of 10.3% is broadly our average achievement in terms of SSG. And we see no weakness around that number. Of course, every quarter, there are these minor issues, which impact the business either positively or negatively. For example, in the last quarter, there was some delay in winter, specifically for the month of December. So that may have had some small impact on the business. But overall, I must also tell you that our winter merch andise, the same -store sales growth was also double -digit for the full quarter.

Devanshu Bansal: I understand. Just a small follow -up here. Can you split your growth in terms of transactions in bill size? Then of this 10%, how this is broadly divided?

Gunender Kapur: Majority of this is because of increase in transactions. And half of that, or slightly less than half of that, was because of improvement in average bill value. So, as you have seen in the earlier quarters also, majority of our growth is driven by transactions and consequently new footfall in the store, because we are probably getting market share from all our competitors and the mom -and-pop stores.

Devanshu Bansal : I understand. The intent of asking this question was because there was this GST decrease. So ideally, your bill size should have improved. So that is yet to play out, from that perspective, I was checking.

Gunender Kapur: No, I am saying that of a total growth, you can assume that about 70% has come because of improvement in transactions and 30% has come from increase in bill value. So those are the exact numbers.

Devanshu Bansal: So last question from my end . We did a winter and festive marketing campaign with Manushi this time around. So, what is the intent behind such campaigns? Was this undertaken to improve our growth profile with recruitment of new consumers or was it related to focus on improving gross margin with premiumization of overall?

Gunender Kapur: So, it is to dramatize our proposition amongst our consumers, which is to make aspirations affordable. And Manushi is aspirational for mass market consumers in two ways. One is that she is an extremely fashionable, young, upcoming actress. But equally, she has a lot of commitment to activities which are aimed at doing good to other people and also to the society at large. She started several campaigns and several initiatives in the area of CSR. So, Manushi in that sense was a good spokespers on for a promise of “do good, look good ” because she represented both the ideas. One is do good and the other is to look good. I must say that the campaign has been extremely successful.

Moderator: Thank you. We take the next question from the line of Percy from IIFL. Please go ahead.

Percy: Hi, sir. Just wanted to understand that the deceleration in growth that we have seen from 22.5% last quarter to 17% this quarter, that entire 500 to 550 bps change, is it just because of the festive timing change or is there some other reason for it?

Gunender Kapur: Largely, it is a festive timing change, Percy. We have itemized the impact of the prepo nement of Puja this year and that impact was 2.1%. Now that has a further impact on the EBITDA numbers for the quarter and the PA T numbers for the quarter. I would say that it was almost entirely because of the change in the festive timings. Further, Percy, if you were to look at the numbers for Quarter 2, in fact, I highlighted this during the analyst call for Quarter 2, our growth same store sales growth was 12.8%. Adjusted for this one -time impact, it was 10.7%. Further, we had spoken about our EBITDA view where we said that we will grow our EBITDA by about 25% YOY . In Quarter 2, we grew that by 30.5%. And likewise, we had guided that our PA T will grow at 30% and PA T had grown by 46.5%. Now we can attribute all these incremental numbers reported in Quarter 2 to the fact that the P uja festival this year fell in Quarter 2 , whereas

last year it fell in Quarter 3 . So almost entirely it can be attr ibuted to that. The one thing which I will add to further underline that point, if you look at the 9-month numbers, the first 9 months of the year, till December, all this gets equalized. Then a change from Quarter 2 to Quarter 3 , etc., or Quarter 3 to Quarter 2 doesn't matter. So, if you want to look at our first 9-month same - store sales growth, it is indeed 10.3%. And our EBITDA growth for the first 9 months is 24.4%. And our PA T growth for the first nine months is 30%.
Percy: Understood. So basically, I was also doing the same thing. So averaging 2Q and 3Q, SSSG around 10%. So, is that what we can expect in the near future as well, around a 10% kind of SSSG? And secondly, on the total sales growth, again, it would be about 19 % to 20% on average . So again, is this something that we can sort of take going forward in the near to medium term?
Gunender Kapur: That is what we expect, Percy, and that would be our endeavor.
Percy: Understood. Secondly, can you just tell us a little bit more about what you are doing specifically and differently versus the street in order to keep the SSSG at close to a double -digit number? Because if we look at the retail space overall, you are clearl y outperforming that. So just wanted to understand, one is that what are the initiatives that you have done in the past or you are putting in place now? And secondly, how are you differentiated versus the retailers so that you are getting a differentiated performance?
Gunender Kapur: So firstly, I would say, Percy, conceptually speaking, our pro

position is extremely relevant for
the Indian customers and consumers at this moment, which is to focus on making aspirations affordable, because as you would find that the aspirations mostly le d by the digital penetration or the penetration of smart mobile phones is growing exponentially, whereas from time to time, there are affordability challenges. The fact that we bridge that gap is extremely relevant for all customers in this country, and more specifically for the younger customers. Our same -store sales growth has three components. Firstly, I would like to mention that of our same -store sales growth, the most dominant component is upgradation from mom -and-pop stores and market

share gain. Difficult to differentiate between these two, but that is the largest bucket. Then the second bucket is the increase in the average bill value of the existing Vishal customers . So first is new customers. Secondly, increase in the average bill value of existing customers, because they buy one thing more or two things more. And last but not the least is an improvement in our average selling price. Now, again, for the first 9 months of the year, our highest price points, which are the fashion price points, grew on a SSG basis at 14%. Our mid -price points grew at 9% and our opening price points grew at 6%. So further, we get 2% kind of growth, because of upgradation, which is continuous, of customers from opening price points to mid and from mid to higher price points. So, to summarize three parts, market share gain, both from mom -and-pop stores and other retail, our customers buying more things, one more or two more, and lastly, the increase in average selling price by upgrading customers from openin g price point to mid -price points and mid -price points to the upper or the premium price points. So, these three components is what drives our double -digit same -store sales growth. Now, the relative impact of these three is different at different points in time, but our entire business is focused towards delivering an end outcome of these three as a doub le-digit same -store sales growth. So, for example, when customers , their incomes and specifically the discretionary incomes are going up significantly, we find that the impact of people buying more, more number of things is higher. But at this point in time, we are finding that the biggest impact which is driving our growth positively is volume growth, which is led by us getting market share.
Percy: Got it, sir. My second question is on competition. Do you find that in your strongholds, the pace of competition opening doors has sort of accelerated over the last one year, or it continues at whatever pace it was earlier?
Gunender Kapur: It keeps changing from time to time, Percy but in the last 9 months or 10 months, I would assume that it's pretty much the same, the pace of new store openings.
Percy: Got it. Yes. Thank you very much. That's all from me. All the best.
Gunender Kapur: Thank you, Percy. All the best to you.
Moderator: Thank you. We take the next question from the line of Manish Poddar from Invesco AMC. Please go ahead.
Manish Poddar: Hi, GK. I just had two questions. First is this point which you mentioned about higher price point growing faster than mid and lower. Is this a market phenomenon or this is because of company interventions?
Gunender Kapur: This is totally because of company interventions, Manish. So, for example, what we are doing deliberately as an input is that in every category of ours, in every large merchandise category, as we call it, every season we introduce one higher price point where the fashionability and functionality is significantly better at a higher price point. Equally we improve, I mentioned earlier that we maintain our gross margins at the same level and all the buying savings that accrue

to us because we are buying more volume, they get invested in either quality improvement or pricing action. We keep improving the quality of merchandise even in our existing price points and take deliberate promotion initiatives to get customers to try the higher price point. So, this is totally deliberate. I wouldn't quite believe that it's a general market phenomenon.
Manish Poddar: But would you say the market is actually moving the other way around? I am just trying to, you are trying to, because then that 10% outcome is a great outcome if the market is moving in the other direction, is what I am trying to get some context.
Gunender Kapur: Manish, there is no real data for me to come to a definitive conclusion on that. I can generally reflect the view in the past, not specifically in the immediate past, but in earlier quarters where there was pressure on consumption and so on. And there was a lot of talk, not only in retail, but the consumer industry in general about consumption pressures. Now, if that were to be true, which I believe was certainly true, then it's unlikely that people were buying more and more expensive price points. It's unlikely, but quite honestly, Manish, I don't have any data on that.
Manish Poddar: I understand you are in different pockets, but are you sensing players across the street in terms of both discounting going materially higher compared to what it was last year? I understand Q2 - Q3 festival was split. And on the same side, when you are talking about rentals, are you seeing any sort of landlords now wanting to prefer larger, probably more organized players compared to a lot of new players which would have come up in the last 2-3-4 years? Is there any sort of trend happening on t hat front? These two variables, one from peers wanting to get cash and doing more discounting because liquidity is crunched. And the other part is on the rental part where the landlords wanting to take you on board. Thanks.
Gunender Kapur: So, Manish, on both, on the more discounting, there is some evidence that that's happening. And I will give you specifically again, the underlying factors for that. In Puja festival, which I mentioned earlier, fell in Q uarter 2 this year and not in Q uarter 3, we had a situation in Assam for 6-7 days. During the peak P uja festival , when the majority of the buying takes place , where a very popular leader and singer of Assam lost his life in a very unfortunate accident overseas, because of which the state of A ssam was virtually shut. It had a huge impact on people. And Assam is one of the largest states for P uja festival. And when you have sort of shut down for 5-6-7 days, in the very last peak period of P uja, it does impact everyone. And therefore, in the balance period and in the balance states, people do make efforts to promote more or discount more to ensure that they are not stuck with very large inventory. Likewise, earlier in response to a question I mentioned, that in December specifically, the onset of winter was delayed by at the very least a couple of weeks, if not more. And again, as you know , winter is a very seasonal product in terms of merchandise. So, people do then tend to discount more aggressively to ensure that they are not carrying forward all that merchandise, because as you know , the next opportunity to sell would be next year December, which nobody really wants. Now, this is what happened in the market. Having said that, I must offer a comment on our numbers. Our winter sales still for the entire season grew at strong double digit, same store sales growth. So, the two are different. One is what really happened in the market was the first part of my response. But

the second was also to differentiate what happened to us. And therefore, we did not quite suffer from that issu

e. You also asked me about rentals. See, rentals are relevant in the micro markets. It's not across the board, but we are not seeing any significant pressure on rentals. There are some micro markets where if there is a sudden increase in number of retailers for a very short period, the renta ls go up. But by and large, it's the same. Because equally, there are markets where there are store closures. And therefore, the rentals become a little bit more softer.
Moderator: Thank you. We take the next question from the line of Manoj Menon from IC ICI Securit ies. Please go ahead.
Manoj Menon: Hi, GK, Amit and team. Good performance. I know that you are fully aware that the questions about seasonality, a lot of clarifications already offered. Just only one aspect I just want to check with you is that, let's say in the last decade plus of your experience, is it largely the same way it plays out or is it something different, which has happened this year in terms of the festival timing? Is it just as per your historical understanding is the same template is playing out or is there anyth ing else you want to comment?
Gunender Kapur: It's the same, Manoj. It's the same, because as you know our festivals follow the Hindu calendar and not quite the English calendar that we are used to. So, they do fall in different months almost

every year. So, it's a very normal thing which happens across the years. But you know in last 10 years all I can say is that we would have encountered every kind of difference , Puja in Quarter 2, Puja in Quarter 3 . We have experienced all the combinations. So, depending on when the festival is fall ing in the coming period, we do adjust our buying and our promotion and advertising plans.
Manoj Menon: Loud and clear and thank you. And the second and last question for now is in your experiments, which you would be continuously doing on newer markets in terms of expanding the total addressable market, anything which you could call out in terms of we can use the word laboratory experiments you are doing, which is finding scalability? And also a link question, because you are allowed to ask two questions on your comments about quick commerce , the learnings from the last few months. Thank you.
Gunender Kapur: Good. Manoj, I will take on the pilots first. Firstly, let me just touch upon the expansion into new states, which is a part of these experiments that we had spoken about. So, in Kerala, we continue to make absolutely great progress. As we speak now, we have 19 stores in Kerala, which are operational, performing very well, and another 20 odd stores in pipeline. So that part is going very well. In Maharashtra, we have expanded our pilot to 4 stores, and in Gujarat to 6 stores. We have currently some feedback on performance for the last 2-3 months, but that's been largely autumn winter. We will watch it for some more time, but keep opening 1-2 stores in spring, summer also, and then come to a conclusion on that. And finally, in our small format pilot, as I mentioned in Q2, we had 6 stores, now we have added 4 more. Obviously, we are feeling more confident about that. So, at this moment, we have 10 new stores in small format, and they are performing decently. As you rightly said, in addition to these, we always have at

least one more idea in pilot or in laboratory. So, there is that also, but it's a bit premature to speak about them, because they have not even reached the pilot stages yet. Quick commerce , Manoj, very quick comment. We have expanded to 485 cities now and to 723 stores, so that's good. Our revenue continues to grow, and our contribution to the store revenue by quick commerce continues to grow. We are going about it very systematically, and in a sustainable fashion, and we will continue to build.
Moderator: Thank you. We take the next question from the line of

Garima Mishra from Kotak Securities.
Please go ahead.
Garima Mishra: Hi, thank you so much for the opportunity. I just had a quick question on the store addition numbers. Now, you clearly said that you are on track to actually surpass your earlier guidance of 100 stores for the year, the higher end of the guidance. How should we look at this number for the next year? And internally in terms of execution capability, does the organization have the capability to actually add a much larger number of stores per year as well?
Gunender Kapur: So, Garima, we are retaining a guidance of 80 to 100. And secondly, we have further increased our capacity to add new stores. But the most important input into our number of store additions is the availability of properties, which can become growing profit able stores for us that we can identify. So obviously, this year has been good. And therefore, we will be at the upper end of the guidance. But we would still retain a guidance of 80 to 100, because we do not think that we should be ch asing a target irrationally there, and end up opening stores, which either do not have the opportunity to grow, or do not have the opportunity to be profitable. As you know historically, in our sector in India, that has been an issue that one needs to be cautious about. So, we will retain our guidance, while reassuring you that we have increased our capacity. So, if the opportunity does arise, for example, to open 110 or 115 stores, we would be able to execute that.
Garima Mishra: All right. Thanks a lot, GK. Second question. See, you have mentioned in the notes to accounts that there was practically no impact from the new Labor Codes on your financials. I was a little surprised. I would have thought there would be plenty of fixed term contract workers working at Vishal. So, could you just tie back around a little bit?
Gunender Kapur: So Garima, our comment was more that it's not that the impact has been negligible, but it is not material for our results. So, the impact has been around 8.4 crores so far. And that is included in our quarterly and the first 9 months results. Amit, do you want to add any comment?
Amit Gupta: Garima, you are right. See, most of our employees are actually on our payroll. And the impact, which is coming on account of gratuity, essentially moving from 35 % to 50%, most of our store employees are already covered in that 50% bracket. So, there we do not have any significant impact. It's largely the managerial staff and corporate employees where we have seen an impact and the same has been assessed and accounted for.

Garima Mishra: And sorry, just to confirm this 8.4 crore s impact has been booked entirely in the third quarter and should be treated as a one -off?
Amit Gupta: See, not necessarily in this quarter, but on a nine -month period, it is accounted for. See, we keep on providing every month and then we do a YTD assessment. We were carrying this provision with us.
Garima Mishra: All right, got it. Thank you so much.
Moderator: Thank you. We take the next question from the line of Jignesh Kamani from Nippon India Mutual Fund. Please go ahead.
Jignesh Kamani: Hi, congratulations for your good set of number even in tough times. Just few questions. One on the inventory side, you highlighted the winter inventory. So how is the winter inventory both at our end and our vendor end? That is one thing. Second, on the performance on the store -side, you highlighted that the small store doing very well. We are ready to reach to 10 stores. So how is the strategy? First, you can say consolidate, see the performance for a few months or we are ready to scale up from 10 stores to 30 -40 stores, next 1 or 2 years.
Gunender Kapur: Thank you very much. There was some disturbance in the line, but I think I have understood both the questions. But if I do mak

e a mistake, my apologies and please correct me. Firstly, on inventory, which we or our vendors are carrying, as I mentioned, we have achieved double -digit same -store sales growth, even on the winter merchandise that we had bought for this autumn - winter season. So, we have no challenge on winter inventory. It is quite possible that the vendors in general would be carr ying some winter merchandise. But at this moment, I am not quite certain because while December was a weak month for winter, as you may know, January has been quite cold. And winter merchandise is, for example, still selling both from our stores and other stores, we believe. So, at the end of the season, whether there will be a big merchandise issue or stock carryover issue in winter, I am not quite certain. Of course, what happens is that merchandise, and I am talking generally, not for any specific retail er, merchandise which sells in December sells at a higher price than the January merchandise in winter, because by the end of December, early January, the sales start. So, in my judgment, it wouldn't be a serious issue. There would be pockets where there would be issues. Specifically in our case, there is no issue because even in winter merchandise, specifically this season, we have achieved a same -store sales growth, which is in excess of 10%.
Second question for the small format stores. In the small format stores, our action standard or goal was twofold. One was that they should be as relevant as our current format stores. And secondly, the financial outcomes should be the same or similar. Now, we are feeling more confident because per square foot revenue for the small format stores is pretty much similar to what we achieve in our large format stores. So, it is indeed as relevant for our customers as any other Vishal store. Secondly, I am happy to report that the financial outcomes are also similar to what we achieve in our normal format stores. So, on both the fronts, we are hitting the target.

But as I mentioned, even in the Quarter 2 analysts meet, we would want to open 30 -40 new such stores and then get a very robust validation of our hypothesis. And then we would increase the pace of the rollout. So, it is progressing very well.
Jignesh Kamani: Understood. Second, on the micro market or the specific, you can say, our ramp -up over the experience, you clearly highlighted that Kerala has been doing very well. In fact, right now, we have almost 20 -odd stores in pipeline. If I remember correctly, last quarter, we had almost 16 stores in pipeline. So definitely, ramp -up is pretty encouraging there. So apart from that, which are the sta tes where you are more confident and the ramp -up can be much better? And at the same time, which are sta tes or micro market, some headwind and you are setting slightly slow on that city?
Gunender Kapur: I will just give you a sense of where are we opening the stores. Quite specifically, in Quarter 3 of the 29 stores that we opened, 12 were in South India, of which 4 were in Kerala and 4 were in Andhra Pradesh. A ndhra Pradesh is also a state where we are expanding. And 2 each were in Telangana and Karnataka. In the north, we opened 7 new stores. In the west, we opened 7 new stores. And these were 2 each in Gujarat, Chhattisgarh, Madhya Pradesh, and 1 in Maharashtra . And in east, we had opened 3 new stores. Now, the markets where our experience has been an outlier in terms of performance is, of course, as you rightly identified, Kerala. But it is an early conclusion in my mind because as you know , we have gone into Kerala only in 2025 in any significant way. And northeast, where we continue to outperform the other states. The last thing which I would say is that in all the states, our performance is pretty uniform in terms of growth, SSSG. Even across Tier I , Tier II , and Tier III , our p

erformance has been pretty uniform. So yes, there are some states which are absolutely outliers in terms of the upper end of the performance.

But generally, we are operating in a very tight range of performance.
Jignesh Kamani: Thank s a lot and all the best.
Gunender Kapur: Thank you.
Moderator: Thank you. We take the next question from the line of Nihal Mahesh Jham from HSBC. Please go ahead.
Nihal Jham: Good afternoon, GK. And congratulations on your performance. Two questions. First is, we have limited history. And what we have seen, obviously, Vishal has given a double -digit growth. But if you look at the last decade or so and even now, despite the overall slowdown and the way peers are reporting, we have managed to report very high SSSG. In which phase was it that Vishal saw a muted SSSG of maybe less than 5% or saw a significant slowdown? Because at this point in time, the consumer environment is not great and competitive intensity is high. And we continue to deliver a very strong performance. So, if historically, we have se en a weak performance what were the additional factors that may lead to that kind of a slowdown?

Gunender Kapur: So, Nihal, we have seen this level of performance, at least, I would say for the last 7-8 years, could be slightly more. And of course, the only period I must quickly add, where we saw a completely diminished operation and performance was during the COVID period. So, other than that, we have not quite seen a performance which has been in any significant way lesser.
Amit Gupta: Maybe way back in ‘14-15 were the years when we had a low single digit, but since then, it's always been double digits.
Gunender Kapur: Nihal, so Amit is pointing out to me that in the 2014 and 2015, which were early days after buying this business, which was bankrupt, we had seen same store sales growth levels, which was single digit. So, you could call that somewhat lower level of performance. But generally speaking, other than COVID, for a very long time, we have been at this level of performance.
Nihal Jham: That's very helpful, GK and Amit. The second question was on the store addition part incrementally, as the new stores are opening there on an average 13, 000-14,000 square feet. So, is this say the impact of the smaller stores that are opening or even the regular stores are sort of being optimized in terms of the square footage that we are looking at? And just to double clarify, when we are guiding 80 to 100 stores for the next year, this obviously excludes any small store pilots sort of scaling up beyond ? These are the questions.
Gunender Kapur: So firstly, in some cases, we are deliberately capping the size at 15,000 square feet. I will give you specifically where that is our endeavor. For example, in Kerala, the population is almost contiguous across the state. There are no well -defined cities. So, we are finding that we will have to open many, many more stores than we had planned. But we are cautiously keeping the size at 15,000 square feet, because they are closer to each other than lets say in the UP or even in Assam or somewhe re else in the country. Secondly, as I mentioned, in Maharashtra and Gujarat, we are in a pilot at the moment. And since the cost structure, especially in Maharashtra and in parts of Gujarat, is higher, we are trying to improve our throughput from a slightly smaller area so that we achieve the same financial outcomes. So, in that pilot also, there are some stores which are smaller in size. I would say other than these two instances, we are not looking for a reduction in size. Yes, there is one more thing which has small contributi on to that number, which is, I had mentioned in Quarter 2 call that in Karnataka, we had found that our stores were oversized. They were 24,000, 25,000, 26,000 square feet. And to ensure that the optical re

venue per square foot
does not look small and therefore lead to the conclusion that we are underperforming in Karnataka, we had undertaken an initiative to right -size the Karnataka stores. That initiative is making very goo d progress. And to the best of my knowledge, other than two stores in Karnataka, we have right sized all the other stores. So that could also be contributing a little bit to that number.
Nihal Jham: Got it. And the clarification on the smaller stores as a part of the guidance?

Gunender Kapur: I would hesitate to make a commitment at this point in time that all these numbers would be additive . So, at this moment, our store number of 80 includes the four small format stores that we opened.
Nihal Jham: Got it. Thank you so much, GK.
Gunender Kapur: Thank you.
Moderator: Thank you. We take the next question from the line of Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani : Thank you for taking my question. My first question is with regard to the revenue per store from the southern market. Now, if we calculate the basis, the break -up that we have given in the PPT,

it shows that the revenue there is around, for the quarter, at least around 4 crores or nearby. Whereas if you look at the north ern and the eastern market, the revenue per store is a bit higher. So, is it a function of, because we are having smaller stores there, and is it because these store additions are also newer, which is impacting this, and probably a scale -up of these stores in the next couple of years could improve the revenue per store there?

Amit Gupta: Yes, Gaurav, you are absolutely right. As you would have heard earlier, we are adding more stores in south and they are new stores. So obviously revenue per store is lower compared to the system average. Whereas in northeast, historically also, we have higher revenue per store basis because many of these stores are feeder stores. So that is the reason why east stores have higher revenue throughput and south stores, because they have a higher contribution o f new stores, they have a lower number.

Gaurav Jogani: And just lastly, on the rental bit, I mean, if you look at the absolute rental, that is the rental that is not recorded or the pre -IndAS rental that we see, we have as a trend, the limited trend that we have, we have seen that number kind of going down in absolute basis in Q3. So, is there anything to read specifically here? Is there any quarterly variance that happens here that you would like to highlight?

Amit Gupta: Not really, Gaurav, there is nothing specific to be highlighted in the rental or the rent per store on a per square feet basis is by and large in the same range. And we have agreed escalations and as and when they come up, that is accounted for.

Gaurav Jogani: I just want to clarify, the incremental rental that is pre -IndAS EBITDA minus the reported EBITDA, last quarter it was 154 crores odd, this quarter it is around 150 odd crores. So, Q OQ basis, it has actually gone down despite the number of stores increasing.

Amit Gupta: No, so that can happen because of some catch up or correction in some of the cases where we have renewals or escalation negotiations, but otherwise that there is no specific, anything specific to be called out here.

Gaurav Jogani: Thank you for answering the question.

Moderator: Thank you. We take the next question from the line of Prerna Jhunjhunwala from Elara Securities. Please go ahead.

Prer na Jhunjhunwala: Thank you for the opportunity. My first question is on SSG, your press release mentions that reported SSG for 9 months is 9.1 and adjusted is 10.3. When can we see this gap actually merging or is it likely to remain similar henceforth?

Gunender Kapur: So, Prerna, the gap will always remain. And let me ta

ke this opportunity to firstly explain what is the gap. Firstly, we as a company are now almost 14 years old, maybe slightly more than that. And every 6-7 years, we need to refurbish our old stores. So, when we refurbish the stores, they are closed because we have to change the tiling, we have to do the plastering, we have to change the fixtures, cas h tills , everything. So, the biggest contributor, if I remember right, to that adjustment is the stores which are actually shut for refurbishment in Quarter 3 this year but were open in Quarter 3 last year. So, that is a significant part of the adjustment. The second thing which I spoke about is the resizing of stores. For example, we have completed that exercise in Karnataka. So, the same store in Q3 last year was 25,000 square feet as an example, but in Q3 this year is now 17,000 square feet. So, we adjust for t hat. And last but not the least is the fact that some of our stores every quarter have to remain shut because of the infrastructure constraints which come up in our immediate context. And these could be any things like a road construction outside the store, con struction of a flyover just opposite the store or temporary closures of some areas for whatever reason. And that is the third part of the adjustment. So, our very clear view is that the refurbishment activity will continue forever. It may actually get enhanced because as the markets become more and more competitive, we will have to ensure that we refurbish our stores even faster to ensure that they look aspirational. The second thing, which is the infrastructure constraints, is very difficult to speculate upon. But my sense is that as we are building infrastructure in India, the highways, the flyovers, the metro project, the urban transport projects, these things will continue. So, I am not quite certain if the two will converge at some stage.

Prerna Jhunjhunwala: Understood, sir. As a follow -up on this response, I would just like to understand how many stores are under refurbishment today. And on average , when do you undertake, after how many years do you undertake refurbishment for a particular store?

Amit Gupta: So, Prerna, at any point in time, we usually have about 8 to 10 stores under refurbishment. And typically, depending upon the status and throughput of the store, anywhere between 7 to 9 years could be the period within which we may undertake a refurbishmen t. It may become faster. It may become faster as we move forward.

Prerna Jhunjhunwala: Understood.

Moderator: Thank you. We take the next question from the line of Latika Chopra from JP Morgan. Please go ahead.
Latika Chopra: Hi. Thanks for the opportunity. GK has kind of very well noted, what Vishal is doing well to grab more market share. But I would appreciate it if you have any broader thoughts on how are you reading the consumer sentiment on the ground? Is it that you have to make all the more effort to drive consumers to come in and make purchases? There's a lot of talk around the GST benefits, but are you sensing that consumers are coming in and are willing to spend more? I heard you said, regionally, you have not seen any significant shifts in consumption, but any broader thoughts on overall retail spending, consumer sentiment would be appreciated.
Gunender Kapur: So, Latika, firstly, thank you very much for your question. I will share with you what my experience has been. And I will relate more to the recent past, which is the last 3-4-5 months, and not the period before that, when there was an obvious problem in consumption and the sentiment. What I have been experiencing is definite optimism because of the income tax and the GST change. But I think the impact of those is yet to be seen. We are quite certain that it will come. And we are quite certa in that in the last 2-3 months, at least, that

impact is getting
camouflaged by other issues, which keep coming up, whether it's somewhat delayed winter in December or I don't want to make too much of it, but the air quality issue in North India or the very extended monsoons in Bombay this year, where they extended much beyond Ganesh Chaturthi and so on. So, it is true that these issues in the last 3-4 months have somehow not allowed the total, the fullness of impact of the income tax relief and the GST cha nges to surface. But the reason for my confidence lies in the fact that wherever there were high ticket purchase items, which got impacted by GST, and you would know this better than us, like cars and so on, after the GST change, there was quite an upsurge in the revenue from new car sales and so on. So, very rationally looking ahead, we believe that the consumption demand would go up. The impact of the changes made has not been fully witnessed by anybody thus far. But logically, when you have more money wi th the customers, and you have somewhat lower prices, it can only impact the consumption demand positively. And so, that is what we are experiencing. And it is also further based on our sort of gut feel, based on what we see in the stores, etc. every day. But on the positive side, Latika, I must also tell you that, as I mentioned earlier, in response to a question, our objective of continuously upgrading customers, we are seeing satisfactory progress on that front. And in the first 9 months of this year, fo r example, I had mentioned that higher end premium price points witnessed a same store sales growth of 13 % to 14%. Mid-price points witnessed the same store sales growth of 9% and the lowest or the opening price points or same store sales growth of 6%. Now, that obviously is a sign that better products at somewhat higher prices, still affordable, still aspirational, are working, are succeeding in this current environment.
Latika Chopra: That's very clear. And the second thing I wanted to check was these smaller format stores that you're piloting, and also some of the new states that you have ventured into, is there any meaningful difference in the product mix, revenue mix between the thre e core categories that you lay out? I am just trying to understand whether the gross margin profiles are materially

different or it's easier to sell more standardized products in FMCG and general merchandise, versus apparel , which could be a lot more, have regional flavors.
Gunender Kapur: So, Latika, we have seen a clear trend in the small format stores, which are in the smaller towns. The higher price points are not selling all that well in the smaller towns. In fact, the contribution of the lower price points is very significantly more than the higher pri ce points, as compared to the larger towns. So, that is one clear difference, which has stood out so much, that we have now fine-tuned our merchandise to represent more of the lower price points. That difference is very - very clear. Equally, the higher value -added products, even in FMCG, their contribution is lower as compared to the larger towns. For example, even value -added detergent powders or more expensive toilet soaps or more expensive shampoos, etc., have lesser traction, but that is to be expected. So, it appears that pricing, the absolute level of pricing and not quite the value, is terrib ly important in the smaller towns. So, that's one difference that we have noticed. The other thing which has stood out for us is t he traction that we are getting in Kerala, and specifically for our fast fashion merchandise in clothing, that is quite good compared to what you would expect.
Latika Chopra: Understood. Thank you so much and all the best.
Gunender Kapur: Thank you very much, Latika.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the questi

on -
and-answer session. I now hand the conference over to the management for their closing
comments.
Gunender Kapur: Well, to all the colleagues on this call, firstly, thank you very much. I really look forward to this session. It is a good learning experience for all of us also. And I also thank you for your understanding and generous comments. We remain grateful for that. These are very -very inspiring for us. And last but not the least, I will take this opportunity to wish you and your families a very, very happy new year. And I look forward to seeing all of you at the next available opportunity. Thank y ou very much.
Moderator: Thank you. On behalf of Vishal Mega Mart L imited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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CIN: L51909HR2018P LC073282

Date : May 1 9, 2026

To
National Stock Exchange of India Ltd.,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
NSE Scrip Symbol: VMM To
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001
Scrip Code: 544307

Dear Sir/ Madam,

Subject: Transcript of Earnings Conference Call on results of the Company for the quarter and financial year ended March 31 , 2026
Pursuant to Regulation 30 read with Para A of Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, pl ease find enclosed the transcript of Earnings Conference Call on results of the Company for the quarter and financial year ended March 31, 202 6, held o n Friday, May 15, 2026. The copy of transcript is also available on the Company's website at https://aboutvishal.com/.

You are requested to k indly take note of the same.
Thanking you.

For Vishal Mega Mart Limited

____
Rahul Luthra
Company Secretary & Compliance Officer
ICSI Membership No: F9588

Encl: As above

"Vishal Mega Mart Limited
Q4 FY'26 Earnings Conference Call "
May 15, 202 6

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on May 15, 2026, will prevail.

MANAGEMENT : MR. GUNENDER KAPUR – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VISHAL MEGA MART
LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER –
VISHAL MEGA MART LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Vishal Mega Mart Limited Q4 and FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star a nd then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Shikha Puri from SGA. Thank you, and over to you, ma'am.
Shikha Puri : Thank you. Good afternoon, and thank you all for joining us on Vishal Mega Mart Limited's Q4 FY '26 and FY '26 Earnings Call. We have with us Mr. Gunender Kapur, MD and CEO; Mr. Amit Gupta, CFO.
I hope everyone got an opportunity to go through our financial results and investor presentation uploaded on the company's website and Stock Exchanges . We will begin the call with opening remarks from the management, following which we will have the forum open for question -and-answer session.
Before we start, I would like to point out that some statements made in today's call would be forward -looking in nature, and the disclaimer to this result has been included in the earnings presentation shared with you earlier.
I would now like to hand over to Mr. Gunender Kapur, MD and CEO, to give his opening remarks. Thank you, and over to you, sir.
Gunender Kapur : Very good afternoon, ladies and gentlemen. A warm welcome to our earnings call. I will very briefly take you through the quarter 4 and full year performance and some highlights, and then we will maximize the time for Q&A.
Firstly, I'll start with quarter 4. In quarter 4, our revenue from operations was INR 3,114 crores. This was a growth of 22.2% over the previous year quarter 4. Our same -store sales growth for quarter 4 was 13.2%. The operating EBITDA in the quarter was INR 275 crores, which was a growth of 32.3% over last year.
And our adjusted EBITDA margin was 8.8% vis -a-vis 8.2% of last year. The profit after tax was INR 168 crores, which is a 45.9% growth over last year, and the PAT margin was 5.4% vis -a-vis 4.5% of the last year quarter 4.
I will now quickly shift gears to full year '26 highlights. In full year '26, the company did revenue from operations of INR 12,906 crores. This was a growth of 20.4% over last year. Our same -store sales growth was 11% for the full year. Operating EBITDA for full year was INR 1,321 crores, which is a growth of 27.8% over last year, and the adjusted EBITDA margin was 10.2% vis-a-vis 9.6% of last year.

The profit after tax number was INR 839 crores, which is a 32.8% growth over last year, and the PAT margin was 6.5% vis -a-vis 5.9% in last year. Our store expansion strategy remains firmly on track. We opened 25 stores during quarter 4 and 105 stores during the full year. In full year '26, we added 77 new cities to our network, in line with our agenda of deeper penetration into India. This takes the total store count to 795 as of March '26, and we are now present in 535 cities across the country.
Of the 105 stores that we added last year, 47 new stores were opened in South India, which is the states of Kerala, Andhra Pradesh and Karnataka. We added 5 new stores in Gujarat and 3 new stores in Maharashtra during the year. This is consistent with our growth strategy that we had outlined earlier. We have now 13 small format stores, 3 were opened in quarter 4 of FY '26, and the small format store agenda is progressing quite well.
Our trading area now stands -- at the end of March stood at 1.34 crore s square feet. Our private brands contribute 74.1% to our revenue in full year '26, which is a 100-bps improvement year -on-year. Two of our private brands are now IN

R 1,000 crores plus in revenue, and another 6 private brands are INR 500 crores plus in revenue.
Our category mix was on similar lines. Our quick commerce operation expanded to 745 stores across 505 cities in the country, and our registered users on quick commerce grew to 1.3 crore s people.
We look ahead at full year '27 with excitement. We wish to be a strong contributor to India's growing consumption story. India's emerging retail landscape offers exciting and evolving opportunities across offline and digital commerce. With our extensive network and strong fundamentals, we are very well positioned to participate in these. We are specifically monitoring

the macro environment very closely and the evolving geopolitical developments, and navigating the situation with agility.

With this, I will close my opening statement, and we can now progress to the Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari : Two questions. First on the SSSG bit and a couple of subparts to that. The first one is what drove the acceleration in this quarter, GK? Was there some bit of prebuying that you see given the concern around the geopolitical situation or anything specific, because this was a number which was quite stro ng in the last several quarters?

Gunender Kapur : Vivek, our SSSG in the quarter was indeed very encouraging. One, we saw a general uptick in consumption, which was not entirely unexpected. If you would recall, in the last quarter also we had said that we are optimistic that the impact of the income tax r ationalization and the reduction in GST rates would be positive for consumption. And indeed, that started playing out. So that was heartening to see. I must also mention that we have invested more in the quarter, as you would see, in growth. So, it was the cumulative impact of both these factors, Vivek.

Vivek Maheshwari : Okay. And GK, with the level of inflation and the price hikes that we are seeing across different industries, what would be your outlook for FY27? Because my hunch is that with inflation going to impact more, leaving aside the volume part, and I would love to know your views on volume side, but do you think SSSG will stay at an elevated level until -- at least for the first half or the next few quarters?

Gunender Kapur : So, Vivek, I'll give you my generic view and then specific to Vishal. As you know, the petrol and diesel prices have gone up overnight by INR 3. And while that is the case, it's very difficult to speculate on the macro and specifically the West Asia situation. And therefore, it's very difficult to model as to how will that pan out in the coming months.

Having said that, our business, in difficult inflation and demand situations, in the past has continued to perform and outperform. And the reason for that is that 75% (This is an approximate number, actual number is 74.1%) of our revenue is now from private brands. And that gives us an ability to cushion our customers and consumers from the impact of very serious inflation. So, it will be our endeavour to ensure that we continue to provide that cushion to our consumers and customers. And at the same time, b e more efficient and productive in terms of cost to be able to sustain that objective. So, at this stage, whilst it's very difficult to speculate, we remain optimistic and positive about this year also.

Vivek Maheshwari : Okay. And one last bit, which was incidentally on your own label. What would be your thought process on the pricing? So, let's say, the leader brands are taking up prices. Will you main tain a bit of discount to those, or you will say that in these times, you should actually go through price hikes, and maybe the discount with the leader brands actually goes up,

because that's where you will end up having more volume ? So how are you thinking about this aspect? And that's my last question.

Gunender Kapur : Yes. Vivek, our discount vis -a-vis the market leaders on private brands will at least remain the same. That will be our endeavour . So currently, if there is a price discount of 40% vis -a-vis the leader brand, even if we have to tinker with pricing, we will ensure that the discount will at least be 40%, and if possible, obviously, it will be our endeavour to make it more.

Vivek Maheshwari : Got it. Wish you and your team all the best.

Gunender Kapur : Thank you very much, Vivek.

Moderator: Thank you. Our next question is from the line of Jignesh Kamani with Nippon Mutual Fund. Please go ahead.

Jignesh Kamani : Congratulations for another good set of numbers. Just on the apparel side, so when you discuss with your vendor, what kind of price hike they are asking currently increase in the current environment? And second thing, if you just want to understand the pas t, like in 2021, '22, when cotton price rallied from, say, INR 40,000/KT to around INR 1 lakh/KT, what kind of price increase we have witnessed and how you tackled it in terms of a price hike and any impact on SSSG or gross margin? What was witnessed in the past? Just some colo ur on that, so we can understand it much better how you handled it?

Gunender Kapur : Sure. So firstly, we did not see any significant -- of course, there was minor here and there, but there wasn't any significant input price increase in the beginning of April, because there was pipeline stock everywhere. But towards the end of April and more specifically in May, we are

seeing an inflation in the input prices, obviously, specifically in all petroleum derivative products and so on. So that's happening now.
And my feeling is that it's just about reaching the consumers and customers, as we speak, in several cases. So, I suppose the full impact of the West Asia crisis will play out in the balance period of May and more in June. That's why we've not seen any impact on demand so far.
Now on your second question, you're absolutely right. We had seen significant cotton inflation at the time of Ukraine war. At that point in time, we had actually taken a slight beating on the margin, but we had cushioned our customers and consumers to a ve ry, very large extent.
Jignesh Kamani : So then, large part you absorbed it and consumer was protected, right, on the price hike?
Gunender Kapur : Yes. And we had implemented several cost initiatives. And I can just give 1 or 2 which come to my mind. For example, from our formal shirts, I think we had removed all the poly bags , they came packed in polybags , except for the white shirts, which continued to be in the polybags. Our apparel used to travel in cartons. Instead of cartons, we had started using gunny bags for our apparel.
Another example which comes to my mind is footwear, where we had started shipping shoes without the outer carton, and the shoes were basically tied at the laces during transit. Another initiative which comes to my head is when you cut a roll of fabric, we had started using extensively computer -aided design, so that we reduced the wastage in that process. And there would be a few others.
So, if we are faced with inflation, which is significant, we would be undertaking these and more cost initiatives also.
Jignesh Kamani : And this helped us to maintain the strong same -store sales momentum ?
Amit Gupta : So Jignesh, just to add, in fact, all these initiatives helped us to maintain the consumer prices and we got the benefit in terms of very strong same -store sales growth.
Jignesh Kamani : Yes, understood. So once the inflation stabilizes, say, maybe six months, nine months down the line, you see healthy SSSG and footfall growth, because then consumer will start reward

ing you
by the time, because they compare to others as to kind of price hike while you are much more fairer. So , have you seen the post stabilization of inflation, healthy growth in the footfall or the SSSG in past?
Gunender Kapur : We are hoping for that, Jignesh. That's clear -- and we are optimistic. Yes. So yes, absolutely.
Jignesh Kamani : Thanks a lot.
Moderator: Thank you. Our next question is from the line of Nihal Mahesh Jham with HSBC. Please go ahead.

Nihal Jham: Good afternoon, GK and Amit. Congratulations on the strong performance. Two questions. The first one was again on inflation. So , three parts here. At least -- I've prima facie understood, looking at the ASP of it, would it be fair to say that a big share of your RM [Inaudible 0:17:47].
Second is, if I'm looking at our FY '21 gross margins, as you just called out that you had taken the hit, I don't see much of an impact versus FY '20. So, was it that the cost -saving initiatives sort of negated the cotton hike? And if you could just say that what is the kind of price hike that your vendors are sort of telling you in April and May that you just mentioned?
Gunender Kapur : So, we had actually succeeded in largely mitigating the impact of inflation in that period from what I recall. And we had also possibly taken some minor price adjustments, but not on the opening price points, in the high fashion price points. But I'm leaning on my memory right now in saying that. At this point in time, the inflation that we are seeing is clearly on the petroleum derivatives. So , plastics, polyester, the inputs which go into detergents, detergent powders and so on and so forth.
So, it is clearly correlated with crude pricing in that sense. And plastic pricing, as you know, is announced every day or every other day by the largest manufacturer in the market . And that is inflationary at the moment, understandably so because of the increase in crude prices. So , these are the areas where we've already started experiencing inflation. Now with the current -- or today's increase in petrol and diesel pricing, we have yet to see the impact.
Nihal Jham : So very quickly, what would be the polyester contribution in our apparel mix?
Gunender Kapur : It's relatively smaller. I don't think it's the majority, but I don't have the number right now, although I can get it for you.
Nihal Jham : Sure. I'll check that separately. Second question was, most of our stores, as the data reports also, are coming in Tier 3 and beyond cities. Different apparel retailers are sort of having different strategy. You seem to be sort of working to more increase the count of cities and going deeper.
Just wanted to understand what is sort of the productivity and the unit economics that you're sort of facing in these cities versus the current average that you're operating?
Gunender Kapur : So, it is consistent with what the rest of the network is delivering. Specifically, I can confirm to

you that the small format stores, which are going deeper, they are delivering the same level of
store EBITDA. And their revenue per square foot, not the absol ute, per square foot is also similar
to our stores in larger towns. And finally, our return on capital employed is also similar. So that is the outcome which is giving us confidence to progress faster with this initiative. And you
would see we've opened several stores in the last quarter, and we would continue to open.
Even in terms of expansion, our outcomes in Kerala and in Gujarat and Maharashtra have been similar to the rest of the network. Obviously, in Gujarat and Maharashtra, as I mentioned earlier, we have fine-tuned our format a little bit to account for the fac t that the expenses and rentals
could be higher. But at this moment, with the limited 6 stores that we have in Gujarat and 6 we have in Maharashtra, we are achieving similar outco

mes.
Moderator: Our next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki : Congrats on a good set of numbers. My first question is on your non-apparel private label
business. So , things like FMCG, general merchandise, etcetera. Now what we see in inflationary
times is that FMCG companies do not pass on the full price increase to the customers, and their gross margin actually gets impacted to a material extent. They try and cushion the impact by
cutting ad spend. EBITDA margin is impacted to a lesser extent.
So, my question is, in this kind of a scenario where national brands are sort of taking a hit on
their gross margins, how easy or difficult it is for you to maintain your gross margins on those
private label products? Because if you try to maintain the gross margin, then your discount will
sort of go down versus these brands. So just some clarity on how you approach this FMCG and general merchandise private label business in such periods ?
Gunender Kapur : Yes, good to see you, Percy. I can once again confirm that at the very least, we will maintain our discount over the market leader brands, the third -party brands. And I'm saying at the very least,
because our endeavour would be not to stop there, because t he challenge of inflation that we are
going to face and have started facing, our customers and consumers also face exactly the same challenge. So , it is not any easier for them than it is for us. So , we are very, very clear that our
level o f discount will at least remain the same.
We also have a few levers to pull. And I gave a few examples, Percy, early in the call. But for
example, we have our own promotions in terms of multi -buys and so on and so forth. So, we
also take a look at our promotions and see whether this is the right time to encourage our
customers to buy more than one piece and instead should we not pass on the pricing on one piece itself, so that more people can afford to buy it. So , we also do all that stuff. So, I can confirm
that our discount will remain at least the same vis -a-vis third -party brands.
Percy Panthaki : And on apparel, what is the price elasticity there? So , what I'm trying to say is that if you, let's
say, take a 5% increase in the pricing of your apparel, does the total sales growth also increase
by 5%? Does it not increase at all because there is an equivalent volume backlash, etc. ? So, what
is the equation there in terms of impact on total sales growth of apparel on the basis of price
increase?
Gunender Kapur : So, Percy, what we do not do is that if we have to take a 5% price increase, we do not, in an
Excel sheet, apply 5% on all the price points, that we do not do. We would never tinker with the
opening price points and the lower price points in these difficult t imes, because those are the
customers who are the most vulnerable in inflationary situations.
Equally, we would be slightly more relaxed about the higher or very high fashion price points, because those are not commoditized. Hopefully, our level of fashionability and quality would
be able to absorb a slightly greater or at least 5% growth. So yes, we would not apply it uniformly
across all the price points. We would also not apply it uniformly across all merchandise
categories in apparel. So , it is done in as thoughtful a fashion as we can do it.
Percy Panthaki : That I understood, GK. All I'm asking is, are price increases incremental, neutral, or decremental
to the total sales growth of the apparel portion?

Gunender Kapur : Our endeavo ur is always to keep them neutral, because, as I mentioned, on the high fashion,
high price points, the price elasticity of demand is lesser, i.e., a price increase does not
immediately and automatically lead to lesser volume.
Percy Panthaki : And lastly, on div

idend, what is your policy now, because you are generating -- even after capex,
you are generating a free cash flow of about 70%, 75% of net profit. You have a significant cash balance also now, and you will keep generating this kind of c ash flow in the future also. Till
now, I think you have not given any significant dividend. Do you plan anything for the next year?

Gunender Kapur : So Percy, your observation is absolutely valid. We have a very healthy balance sheet with a significant amount of cash, which, as you can see, we are deploying for all growth initiatives.
But to comment on this, I will have to rely on my Board, because I cannot express any view independent of the Board, on this matter.

Moderator: Our next question comes from the line of Michael Sell with Alquity .

Michael Sell : Thank you for taking my question. It's in two parts. Firstly, if we see a weaker rural economy this year due to poor monsoons, do you think, based on your experience, that will have any impact on you? And secondly, congratulations on a very strong same -store sales number. Do you think you are also ga ining share from other value retailers such as V2, V -Mart, etc. ?

Gunender Kapur : Well, thank you very much. In the current situation, I would say that the reason for weaker global economy, if it is entirely because of the higher crude prices, we would certainly see an impact in our country, because we are dependent, as far as our energy needs are concerned, on imports.
So higher crude prices, any depreciation in our currency will certainly fuel inflation and could impact the demand as well.
Now, we believe that our performance would not get impacted in the same proportion, because 75% (This is an approximate number, actual number is 74.1%) of our revenue is coming from private brands, which, let's say in the case of food and grocery would be 30% to 50% cheaper than the third -party brands and the market leaders.
Now what we have seen in the past is that in these difficult situations , we get more footfall in our stores, because people are struggling to make ends meet and consequently if they can buy everything 30% to 50% cheaper with a guaranteed quality from our side.
That option becomes really very attractive for them, because then they can continue to consume all the categories that they were consuming earlier and which they cannot afford to consume right now. So that has been the experience of the past, which is why I'm quite committed to
ensuring that in this situation our discounts vis -a-vis the national third -party brands remain at least the same.
And I'm quite confident that we will experience the same phenomenon, which can be loosely called down -trading and we will be the beneficiaries of that. On your second question of same - store sales growth of the 11% number that we have reported for last year , let me share the key components of that and then share with you my hypothesis of market share gain.

So of that 11%, 7% has come because of new customers and new transactions in our store. 2% has come because our existing customers have bought more number of things. And the balance 2% has come because our customers have bought a higher price point. So the refore, there's been premiumization, b ut that's our endeavou r every day of the year to upgrade people to higher price points. Now the fact that 7% of 11% has come from new customers makes me believe that we are gaining market share.

Michael Sell : Thank you, sir. A nd just one follow -up. You have been very clear on the economic environment impact. If there was a poor harvest , would the answer be the same o r do you have any greater sensitivity to that?

Gunender Kapur : I would believe that we would have greater sensitivity to that, because that is going to directly impact the incomes of mass market consumers, well to the extent that they are dependent o

n
agriculture. Now I must say that whilst it will have an impact on i ncomes, the contribution of agriculture to our economy has been coming down over the years. And at this point in time, the numbers suggest that it won't be so significant so as to create any significant impact on our business.

Michael Sell: Thank you, sir.

Moderator: Thank you. O ur next question comes from the line of Shrinarayan Mishra from Baroda BNP Paribas Asset Management Company. Please go ahead.

Shrinarayan Mishra : Thanks. M y first question is on the stores that have not been considered for SSG calculation because, of course, there are 15 months and other criteria we don't include those stores in SSG. If you can qualitatively comment on how the perfor mance has been in these stores and related
to that, how are we performing in newer geographies?

Gunender Kapur : Okay. So firstly, we take 15 months criteria only t o make it comparable.

Shrinarayan Mishra : I completely understand it. I just wanted a flavou r on how this segme nt is doing, newer segment, sir?

Gunender Kapur : So, our new store performance is totally in line with how we had performed earlier with the new stores. And the 53 out of 105 stores or maybe slightly more are coming from states where we

already have a lot of presence. So, states like UP, Karnataka, Andhra Pradesh, Telangana, MP, and so on. We already have stores in all these places , and we've had a very good experience so that continues.
I think your second question is more important for us that how are we performing in the newer states that we have gone to. So , I would confirm to you that Kerala has been better than average and Gujarat and Maharashtra have been totally consistent with our performance nationally for the network. And lastly, the small format stores which we are opening are performing on a per square foot basis, not on an absolute basis, because obviously, they are smaller, the same as the large format stores. And that's why we are now opening more and more.

Shrinarayan Mishra : Okay. And sir, because of the macroeconomic problems that we are facing, will expansion in newer geographies take a back seat for a while or you will continue with your plans?
Gunender Kapur : We will continue. We will not slow down our expansion at all because w e are very excited about the long -term consumption stor y in this country and it is our hope and belief that these issues are not permanent in nature and they will go away. When is what we don't know .
Shrinarayan Mishra : Okay. Thank you for answering my questions.
Gunender Kapur : Thank you.
Moderator: Thank you. Our next question comes from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.
Rahul Agarwal : Hi, very good afternoon, GK and Amit. Sir, just 2 questions. Firstly, just to extend the earlier question on new store openings. During such times when industry will obviously face some difficulty in terms of expansion further to manage their own balance sheet, I'm talking about independent st ores, local chains in areas where you operate.
Is it time to further step up the new store increase for Vishal Mega Mart? Do you think this is a market share gain opportunity, because a lot of things will actually play out, as you have explained earlier in terms of higher footfall. So , what is the thought on that for the next 12 to 18 months? That's one question.
And secondly, on rental, we're still seeing a decent amount of operating leverage playing out. The SSG growth is higher than rental inflation, what the number you report. Does this continue ahead? And if Amit can clarify that fourth quarter, the rental num ber at INR 160 crores, it looks a bit lower on a Y -o-Y basis. Is that the right comparison? Those are my questions. Thank you.
Gunender Kapur : Well, thank you very much. Your first question is very interesting. By the way, my thought process is quite aligned with yours. So , if practically possible, we would try very hard to open more number of new stores. And just to give you some background to what I'm saying, we did not stop opening stores during COVID.
In fact, I think, to the best of my memory, the most severe COVID period also, we opened 1 or 2 stores that month, new stores. So, I'm emotionally totally aligned with what you said. That will be our goal. I will request Amit to answer the second one. Amit, all yours.
Amit Gupta : Sure. Rahul, the right comparison is to see the full year basis and there the rent cost has gone up in line with the inflation and the new store opening. The quarter 4 number of last year is not comparable, because that has an impact of certain leases which got renewed in quarter 4 of last year.
Rahul Agarwal : Got it. Actually, the question was more structural in terms of, does this operating leverage also continue ahead where we are seeing higher SS SGs and lower rental increase in your numbers?
Amit Gupta : That should continue for a simple reason is that these are long-term leases and our contractual arrangement is about 15% increase every 3 years, which translates into, let's say, 5% every year.

And if we continue to have strong double -digit same -store sales growth, that should result into an operating leverage.
Rahul Agarwal : All right. That’s very clear. Thank you so much and wish you all the luck for fiscal '27.
Amit Gupta : Thank you.
Moderator: Thank you. Our next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.
Gaurav Jogani : Thank you for taking my question, sir. First question is with regards to the availability of the products. While we understand that there has been significant inflation, but some demand checks suggest that the availability of the material has been a challenge. So have you faced any challenge in terms of your general merchandise products and also in terms of materials required for store openings, because tiles players, etcetera, even those are facing issues.

Gunender Kapur : I'll tell you, we faced a few challenges, but they did not result in any paralytic inaction from the industry. These challenges were firstly because of the gas availability, the commercial gas availability. And therefore, there are several small -scale factories which were struggling and so on and so forth.

Secondly, again, the more small and medium -scale industries faced challenges because of labor availability . There was an exodus of labor from the urban manufacturing centers, probably because of the elections in Bengal, and maybe there were some other reasons around sowing or harvesting. Now that is still getting sorted out. The labor is coming back, but I can't confirm that almost everyone has come back as yet.

So, we were facing these 2 issues very specifically on the vendor side, but they are getting better and better. In fact, the vendors have shifted to other energy forms, many of them, in the last 3, 4, 5 weeks. And as we look ahead, we will find more of the ve ndors moving in that direction.

But it is not a situation where we are not supplying to our consumers and customers.

Gaurav Jogani : Sure. And sir, another question is with regards to the Karnataka region specifically. If I remember it right, last time you have highlighted that you had done some tweaking in terms of the store area, specifically in Bangalore area. So, if you can highligh t that has been done entirely? And what the changes have helped you in improving the productivity or the desired results that you are seeking?

Gunender Kapur : So, I'm very happy to confirm that it's been done entirely. The impact of that, Amit will spend a few minutes in sharing.

Amit Gupta : Yes. Gaurav, so as GK confirmed, we have actually reduced store area in quite a number of stores. And a result of

that, our P SF in Karnataka region has further gone up. Yes, so that has been done and taken care, and it's in line with the national average.

Moderator: Our next question is from the line of Videesha Sheth from Ambit Capital.

Videesha Sheth: Most of my questions have been answered. Just two small ones. So, the first one was on the GM compression that we've seen in the fourth quarter. Now while I understand that it would probably be due to higher intensity of promotional activities, but wanted to get your perspective as to what drives this in tensity of promotion? Is it that you're seeing latent demand and accordingly, you take decisive calls in order to accelerate market share gain? Or is it more of a reactionary decision due to higher competitive intensity?

Gunender Kapur : So, I'll tell you, the most dominant reason was the fact that we were entering spring/summer. And typically, in the quarters before our biggest season, we try and get rid of as much old stock as we can, so that the inventory in the store is entirely fresh merchandise, which sells at full value. So , we did do that in quarter 4, so that we have a great spring/summer, which is April, May, June season.

And this is specifically relevant for clothing business, which is our biggest business. And the second, of course, is that, as I mentioned earlier, we saw an uptick in consumption, and we were quite determined to maximize our share of that growth. And therefore, we increased the promotion intensity.

Videesha Sheth: Noted. So, my second question was also related to this. When I look at the efficiency of the inventory days, that the overall working capital cycle has become much more efficient. So , is this pertaining to the liquidation undertaken? Or should we assume that this working capital cycle is here to sustain?

Amit Gupta : Videesha, this is by and large same as last year. So that's the level at which we would like to operate.

Moderator: Our next question is from the line of Devanshu Bansal with Emkay Global.

Devanshu Bansal : Congratulations. Sir, we are investing more in the apparel category, both in terms of promotions as well as a celebrity -based marketing campaign, which itself is a bit differentiated from a value space perspective. I wanted to understand if these investmen ts are need of the hour to sort of continue with our existing growth, maybe in light of increased competitive intensity? Or are we trying to improve our growth rate either with focus on premiumization or by gaining new customers for this c ategory?

Gunender Kapur : So, it is all of what you mentioned. But firstly, I would like to share with you something which is interesting. Our new campaign has now been seen 1.6 billion times on Instagram, which makes it among top 10 campaigns on Instagram ever. And there are 300 m illion -plus unique viewers of our total population, which is on Instagram, which would be less than 1 billion, I suppose. So, it has done extremely well. 1.6 billion views is a record. So people are loving our advertising.

And I can confirm to you that we will continue to invest behind our brands, both to get new consumers and customers, specifically to get new consumers and more younger customers, because we are very relevant for them, and also to improve and increase the aspirational quotient of a brand. So, these initiatives will continue into the future also.

Devanshu Bansal : Sir, just a small follow -up here. So obviously, congratulations on the strong traction for the campaign. Is this also sort of converting into higher footfalls for you as of now? And subpart to it is, have we also worked on improving the fashionability of t he product, right? So obviously, marketing has gained strong traction, but have we also improved our products, made them more fashionable, etc?
Gu

nender Kapur : Again, I would like to confirm to you that it is absolutely true. On your fashionability point, I can share with you -- see, firstly, you've seen that we have achieved a very strong growth in quarter 4 of 13.2%, which has been very nice . While it's impossible to attribute it arithmetically to any one thing, but of course, our advertising has played a very important role in driving growth.
Secondly, I can share with you something arithmetically, which is that in quarter 4, our entry price point merchandise grew at 11.1% same-store sales growth, our mid -price apparel merchandise grew at 13.6% same-store sales growth, and our fashionable pric e point, which is typically the highest 2 or 3 price points, grew at 14.7%.
So the fastest growth that we achieved, both in quarter 4 and for the full year, was in the fashion segment in terms of same-store sales growth. Obviously, this was a consequence of our merchandise becoming more fashionable and our advertising supporting that endeavour . So we are achieving the highest growth.
Devanshu Bansal: Sure, sir. Sir, just last bit from my end. So cash flows have been pretty robust. Aside of dividend and faster network rollout, which you have already commented upon, I wanted to check your thoughts on leveraging the balance sheet to add more categories. A s we currently cater to only about 50% of the overall Indian retail market, so what's your thought on this will be helpful?
Gunender Kapur: Good. So firstly, adding more categories to the existing stores, which are legacy stores, is a bit difficult because we are growing at more than 10% every year even in the legacy stores. And as you know, majority of our growth is volume -led. So, the volume that the legacy stores are handling is already such that we will have to keep looking at options to continue that growth for the existing categories. So, inserting any new categories in the legacy stores is going to be a challenge.
But I can confirm that we are looking at , if there is an opportunity for some different formats, which will help us get to more consumers and customers in the country. It's at a very early stage, so I would not be able to provide any colo ur to that, but I can assure you that that's very, very active.
Devanshu Bansal: Would this be a larger format than the existing format? Or how are you planning here, sir?
Gunender Kapur: We are looking at all opportunities. And yes, I mean, I won't be able to confirm any specific outcome that this exercise may have, because it's all work in progress, consumer research, and that kind of stuff. So, let's see how it pans out.
Devanshu Bansal: Okay, sir. All the best for this new venture.

Moderator: Our next question is from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: Congratulations on strong set of numbers. Just wanted to understand how is the growth rate in stores which are more than 5 years old versus stores which have opened recently? What could be the SSSG in these 2 categories of stores?
Gunender Kapur: It is similar, Prerna. So, all legacy stores in our network are growing at double digit.
Prerna Jhunjhunwala: Okay. Understood. And sir, given the heightened competitive intensity coming in apparel segment due to aggressive expansion in Tier 2, Tier 3 cities, either through e -commerce or through the value fashion players who are going aggressive, what is the price elasticity -- pricing strategy that you can take over to combat the inflation pressure in this category?
Gunender Kapur: So, our pricing is totally consumer -led. As you know, for fast fashion, which is our dominant business, the consumers are young people. And we will always ensure that our merchandise is priced in such a way that it is affordable for young people . And it is also affordable for them to look fashionable and slightly different every d

ay. So that is how the pricing gets determined.
In our understanding and experience, the demand damage can happen more at the opening and lower price points if one were to take a price increase. The higher and the more fashionable price points are not that commoditized. And therefore, our experience has been that there is no demand damage or significantly lower demand damage at the very high fashion price points if one were to take a reasonable price increase. Of course, if you were to be totally unreasonable in your

price increases, it will get damaged across the board.
Prerna Jhunjhunwala : And sir, last question on supplier price increases. Hello?
Gunender Kapur : Yes. Yes, please go ahead.
Prerna Jhunjhunwala : So, suppliers of apparel, what kind of price increases they are asking in the light of current challenges, including raw material prices and other input cost increases?
Gunender Kapur : Yes, they are facing challenges. The suppliers are facing challenges. I can confirm that thus far, we were doing all right because of the pipeline stock. I can give you a general range of what we are experiencing as of today. So, the fabric prices are goin g up at about 10% to 11%. And yes, that is what we are experiencing every day now, at this moment.
Prerna Jhunjhunwala : Okay. Understood sir. Thank you so much and all the best.
Gunender Kapur : Thank you very much.
Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Gunender Kapur : Well, thank you very much, ladies and gentlemen. I truly appreciate the fact that all of you congratulated us. We are very, very happy and pleased about that specifically on the call. And we totally stay committed to our agenda of making aspirations afford able. The coming months and quarters could be challenging. I don't know.

But as I mentioned during our discussion that we actually do quite nicely in these challenging times, because our 75% (This is an approximate number, actual number is 74.1%) of revenue is from our private brands, which, as I mentioned, give us an ability to cushion our customers more from the damaging impact of inflation.
And just as an example, our private brands in FMCG will work very, very hard to ensure that all customers who come to our store can still afford to buy all the categories that they were consuming before the onslaught of the inflationary pressure, which we could face. So, we stay very, very committed to that. Thank you very much for your time, and we really appreciate your support.
Moderator: Thank you. On behalf of Vishal Mega Mart Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.